EnCap Investments L.P.

EnCap Energy Capital Fund XI

Quarterly Review

As of March 31, 2024

Confidential

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended March 31, 2024

Transactions

Type	#	*$ in millions*
Commitments	0	0.0
Investments	4	25.4
Distributions-Cash	8	330.0

Fund XI made no commitments or adjustments to portfolio companies.

Fund XI made investments in portfolio companies as follows ($ in millions):

Investments:	
M6 Midstream	$ 14.2
Grenadier III	7.8
Sabalo II	3.0
Special Opportunities	0.4
	$ 25.4

Fund XI received cash distributions from the following portfolio companies ($ in millions):

Distributions:	
Black Swan	$ 124.7
Permian Resources (formerly Earthstone)	53.4
EnCap Minerals	41.7
Grayson Mill II	38.2
Verdun II	26.1
Piedra IV	20.6
Forge II	20.3
Pegasus II	5.0
	$ 330.0

Fund Performance Summary ($ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

Date of Initial Investment	*Total Committed*	*Capital Invested*	*Realized Proceeds*	*Unrealized Value*	*Total Value*	*Gross IRR*	*Net IRR*
July-17	$ 7,539.1	$ 5,841.5	$ 3,810.3	$ 8,660.3	$ 12,470.6	29.5%	20.6%

Portfolio Status

Fund XI

(As of March 31, 2024; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
Sable Bay	Aug-17	$ 5.9	$ 5.9	$ -	$ -	$ -	0.0x	n/a%
Black Swan	Oct-17	497.7	497.7	1,482.8	304.9	1,787.7	3.6	50.7
Piedra IV	Dec-18	249.5	249.5	234.6	235.1	469.7	1.9	22.9
Silverado	Mar-19	15.8	15.8	0.9	-	0.9	0.1	(56.1)
Forge II	May-18	265.0	265.0	360.1	53.5	413.6	1.6	14.3
Raisa III	Jun-19	13.1	13.1	8.1	-	8.1	0.6	(19.8)
Paloma V (Solar & Wind)	May-20	41.9	41.9	45.5	-	45.5	1.1	13.0
Special Opportunities	Dec-20	75.0	68.0	135.8	15.7	151.5	2.2	137.3
		1,163.9	**1,156.9**	**2,267.8**	**609.2**	**2,877.0**	**2.5x**	**35.6%**
Unrealized Investments								
Silverback II	Jul-17	486.0	199.6	-	174.9	174.9	0.9x	
Enduring IV	Jul-17	475.0	298.9	16.5	346.5	363.0	1.2	
EnCap Minerals	Nov-17	599.7	599.7	469.4	1,044.4	1,513.8	2.5	
XCL	Jul-18	585.2	585.2	0.1	1,336.5	1,336.6	2.3	
Arbor Gas	Feb-21	75.0	44.4	-	44.4	44.4	1.0	
Grayson Mill II	Apr-21	394.2	394.2	655.7	1,196.6	1,852.3	4.7	
Grenadier III	Jun-21	343.0	54.9	-	54.9	54.9	1.0	
Pegasus II	Jun-21	297.3	215.5	5.0	350.4	355.4	1.6	
Verdun II	Jul-21	380.0	356.3	302.0	634.1	936.1	2.6	
Sabalo II	Sep-21	296.5	15.8	-	15.8	15.8	1.0	
Paloma VI	Dec-21	539.0	504.7	-	520.3	520.3	1.0	
Double Eagle IV	Mar-22	900.0	675.5	-	1,220.6	1,220.6	1.8	
Tumbleweed IV	Mar-22	450.0	311.8	-	454.3	454.3	1.5	
Permian Resources (formerly Earthstone)	Apr-22	221.0	221.0	93.8	403.1	496.9	2.2	
M6 Midstream	Nov-22	200.0	138.2	-	139.1	139.1	1.0	
Grayson Mill III	Jun-23	133.3	68.9	-	115.2	115.2	1.7	
		6,375.2	**4,684.6**	**1,542.5**	**8,051.1**	**9,593.6**	**2.0x**	
		$ 7,539.1	**$ 5,841.5**	**$ 3,810.3**	**$ 8,660.3**	**$ 12,470.6**	**2.1x**	**29.5%**

Comparison to prior quarter
($ in millions)

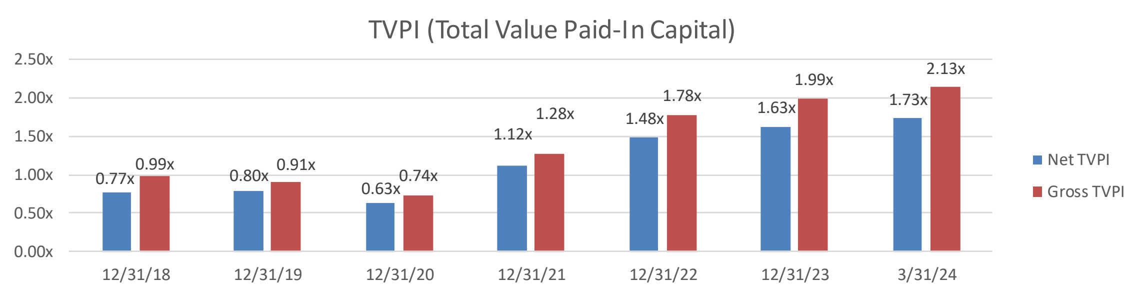
	Valuation 12/31/2023	Valuation 3/31/2024	Q1 2024 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 12/31/23	Comments (> $5MM and 5% change)
Silverback II	$ 186.6	$ 174.9	$ -	$ (11.7)	-6.3%	Decrease in activity on the asset
Enduring IV	324.1	346.5	-	22.4	6.9%	Increase in oil prices
Black Swan	381.8	304.9	(124.7)	47.8	12.5%	Increase in oil prices
EnCap Minerals	989.1	1,044.4	(41.7)	97.0	9.8%	Increase in oil prices
Forge II	72.5	53.5	(20.3)	1.3	1.8%	
XCL	1,243.7	1,336.5	-	92.8	7.5%	Increase in oil prices and drilling activity
Piedra IV	236.5	235.1	(20.6)	19.2	8.1%	Increase in oil prices
Special Opportunities	15.4	15.7	0.4	(0.1)	-0.6%	
Arbor Gas	44.4	44.4	-	-	0.0%	
Grayson Mill II	1,095.7	1,196.6	(38.2)	139.1	12.7%	Increase in oil prices and drilling activity
Silverado	-	-	-	-	n/a	
Grenadier III	47.0	54.9	7.8	0.1	0.2%	
Pegasus II	330.7	350.4	(5.0)	24.7	7.5%	Increase in oil prices
Verdun II	618.5	634.1	(26.1)	41.7	6.7%	Increase in oil prices
Sabalo II	12.8	15.8	3.0	-	0.0%	
Paloma VI	547.7	520.3	-	(27.4)	-5.0%	Decrease in gas prices
Double Eagle IV	948.2	1,220.6	-	272.4	28.7%	Increase in oil prices and drilling activity
Tumbleweed IV	428.3	454.3	-	26.0	6.1%	Increase in oil prices
Permian Resources (formerly Earthstone)	353.7	403.1	(53.4)	102.8	29.1%	Increase in PR share price
M6 Midstream	123.5	139.1	14.2	1.4	1.1%	
Grayson Mill III	101.1	115.2	-	14.1	13.9%	Increase in oil prices and drilling activity
	$ 8,101.3	$ 8,660.3	$ (304.6)	$ 863.6	10.7%	

Fund Status

($ in millions)

	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	3/31/24
Total Commitments	6,961.2	6,961.2	6,961.2	6,961.2	6,961.2	6,961.2	6,961.2
Total Paid-In Capital	746.3	2,057.0	2,414.1	3,903.9	5,852.3	6,538.9	6,538.9
Recallable Capital	-	-	-	63.6	182.2	466.0	466.0
% Total Capital Drawn*	10.7%	29.5%	34.7%	55.2%	81.9%	88.0%	88.0%
Remaining Commitment*	6,214.9	4,904.2	4,547.1	3,120.9	1,291.1	888.3	888.3
Investments at Cost	550.5	1,696.3	1,987.9	3,404.6	5,238.1	5,816.1	5,841.5
Investments at FMV	545.5	1,547.9	1,468.7	4,353.4	9,338.0	11,581.5	12,470.6
Gains (losses) - on unrealized companies	1	(142.5)	(513.3)	974.3	4,040.1	4,113.5	4,909.0
Gains (losses) - on realized companies	(6)	(5.9)	(5.9)	(25.5)	59.8	1,651.9	1,720.1
Gross Distributions	0	0.6	0.6	160.1	933.0	3,480.2	3,810.3
Cash Balance	30.2	90.0	50.5	86.4	50.3	146.4	76.5
# of Companies Funded	9	12	14	19	23	24	24
# of repeat teams	6	8	9	12	13	14	14
# of new teams	3	4	5	7	10	10	10
Realized above cost	-	-	-	1	2	5	5
Realized below cost	1	1	1	3	3	3	3
Unrealized above cost	2	2	-	7	12	11	12
Unrealized at cost	6	8	6	6	6	3	3
Unrealized below cost	-	1	7	2	-	2	1
Gross Distributions:							
% of total drawdowns	0.0%	0.0%	0.0%	4.1%	15.9%	53.2%	58.3%
% of committed capital	0.0%	0.0%	0.0%	2.3%	13.4%	50.0%	54.7%
Key Fund Valuation Metrics:							
Gross IRR	n/a	(10.5)%	(17.6)%	14.5%	30.4%	28.4%	29.5%
Gross DPI (Distributions to investment)	0.00x	0.00x	0.00x	0.05x	0.18x	0.60x	0.65x
Gross RVPI (Residual value to paid-in capital)	0.99x	0.91x	0.74x	1.23x	1.60x	1.39x	1.48x
Gross TVPI (Total value to paid-in capital)	0.99x	0.91x	0.74x	1.28x	1.78x	1.99x	2.13x
Net to LPs:							
Net IRR	n/a	(24.6)%	(26.3)%	6.3%	19.8%	19.4%	20.6%
DPI (Distributions to paid-in capital)	0.00x	0.00x	0.00x	0.02x	0.15x	0.52x	0.58x
RVPI (Residual value to paid-in capital)	0.77x	0.80x	0.63x	1.10x	1.33x	1.10x	1.15x
TVPI (Total value to paid-in capital)	0.77x	0.80x	0.63x	1.12x	1.48x	1.63x	1.73x

Historical Fund Performance (TVPI)



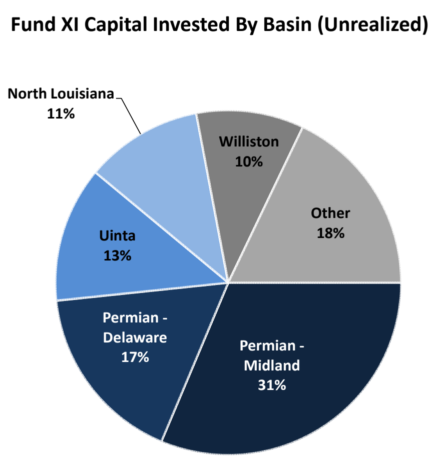
* Includes recallable capital

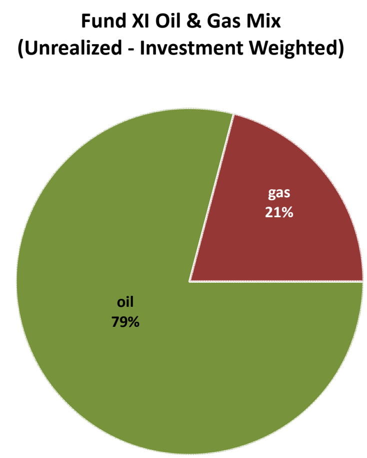
Projected Contributions and Distributions as a Percentage of Commitment

	2024	2025	2026
Contributions	6%	5%	0%
Distributions	30%	30%	30%

Portfolio Review and Discussion of Recent Transactions

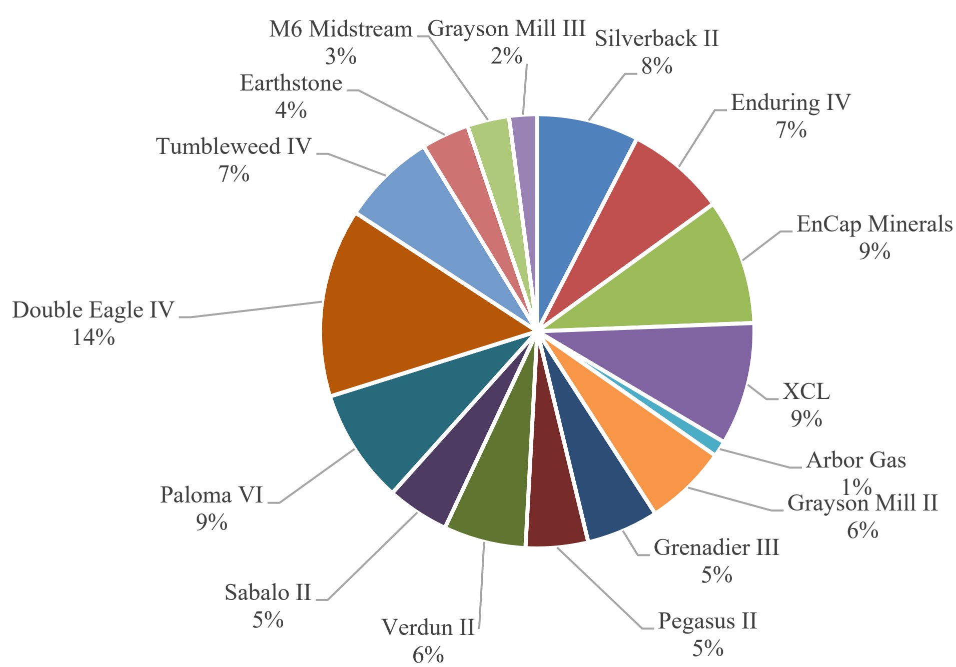
Fund Capital Allocation





gas @20:1 mcf/bo
NGL's included in oil @0.6bbl/bo

Fund XI Unrealized Commitment Concentration



Significant Events and Transactions

Silverback II	-	Accumulated ~50,000 net acres on the Northwest Shelf; continue to monitor well results and buildout critical infrastructure
Enduring IV	-	Plan to run a 1 rig program in 2024 with a modest reinvestment rate
Black Swan	-	Distributed ~$23 million ($17 million net to Fund XI) from mineral cash flow
Forge II	-	Continued to manage a portfolio of ~5,200 NRAs that the company will look to monetize in the future
XCL	-	Continued to execute on large scale development in the Uinta Basin; retained advisor to explore a sale later this year
Piedra IV	-	Continue to manage portfolio of royalty assets with current monthly income of ~$3.0 - $4.0 million
Special Opportunities	-	Remained focused on building out its methane monitoring business
Arbor Gas	-	In active conversations with counterparties to reach a commercial agreement or joint venture at the Spindletop site.
Grayson Mill II	-	Continued to execute on a significant capital program while making distributions from operating cash flow
Grenadier III	-	Continued to evaluate opportunities across multiple basins
Pegasus II	-	Initiated distributions ($5 million net to Fund XI); current industry activity should translate to continued growth for the entity in 2024
EnCap Minerals	-	Made ~$115 million in distributions (~$42 million net to Fund XI); current industry activity should translate to continued growth for the entity in 2024
Verdun II	-	Continued to execute its operated development program of the acquired EP Energy Eagle Ford assets; continued distribution program with ~$26 million net to Fund XI distributed in Q1 2024
Sabalo II	-	Continued to evaluate opportunities across multiple basins
Paloma VI	-	Well insulated with hedge book and adding meaningful, core Haynesville inventory; limited development activity expected in near term
Double Eagle IV	-	Aggregated >50,000 net acres in the Permian Basin and continued running a 5-rig development program
Tumbleweed IV	-	Closed on >17,000 net royalty acres in the Permian Basin and continues to actively evaluate acquisition opportunities
Earthstone	-	Monetized a small portion of the PR shares

M6 Midstream	-	Remained focused on business plan execution ahead of major U.S. LNG capacity expansions coming online post-2024
Grayson Mill III	-	Continued running a 1-rig development program

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q1 2024, EnCap managed Fund XI in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
    a. Management fees
    b. Net operating income (loss)
    c. Realized gains (losses)
    d. Unrealized gains (losses)
    e. Unrealized incentive allocation
    f. Incentive payments to the GP
    g. Contributions paid
    h. Distributions received
    i. Recallable distributions received
    j. Tax withholdings, if applicable
    k. Portfolio company summary cash flows

2. Status of Payout

3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices

2. Quarterly management fee calculations

3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)

    a. Fund organization information
    b. Portfolio company organization information
    c. Portfolio company financial information

4. Supplemental Schedule of Investments

5. All tax reporting

6. Annual audited financial statements

7. Advisory Board presentations

8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.

Section II: Industry Overview

Crude Oil Overview

Crude oil spot prices ("WTI") finished the quarter strong up ~17% QoQ and ~11% YoY, settling at $83.96/Bbl, which was only the second settle above eighty-three dollars since October 2023. Oil prices have remained constructive over the last couple of quarters with the 12-month strip hovering around ~$80/Bbl at quarter-end. The run up in oil prices over the last 2 quarters has mainly been driven by 1) two OPEC+ cut extensions 2) Middle East escalation and failed truce negotiations and 3) a global risk-on mood that could arguably rival any other risk-on rally in history. For the remainder of the year the market will remain focused on 1) global economic data 2) escalating global tensions and 3) OPEC+'s potential tapering of production cuts at its next meeting in June 2024. Current oil prices remain constructive for M&A/A&D activity and 2024 is expected to continue to be a strong year for activity.

Natural Gas Overview

Natural gas spot prices ("Henry Hub") continued to remain very challenged and finished down ~28% QoQ and ~25% YoY. Gas prices are expected to remain challenged during 2024 until LNG projects come online in 2025+. At quarter-end, ~11 Bcf/d of LNG capacity additions (~80% growth) were under construction, with the majority expected to be online over the next couple of years. The gas strip deck reflects this increased capacity with the back of the curve sitting in substantial contango.

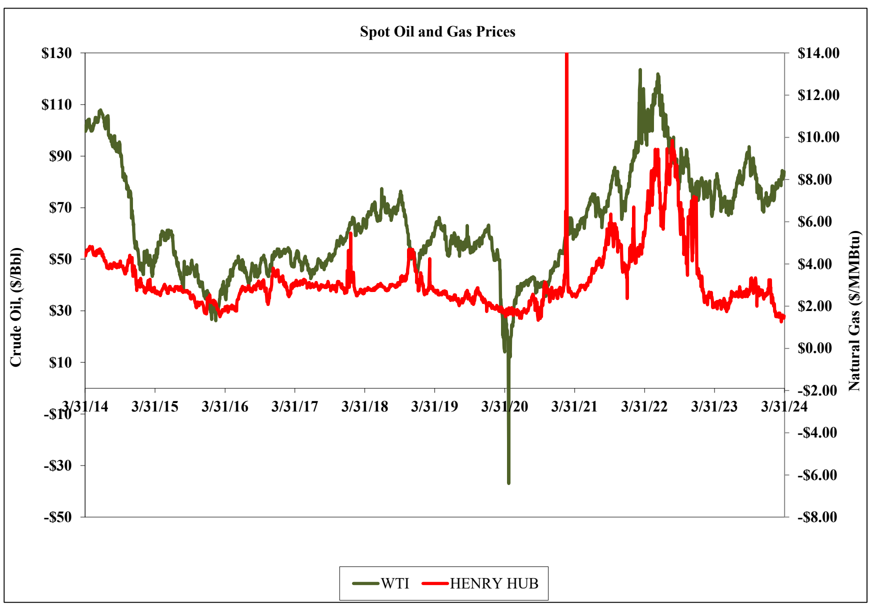


Figure 1: Oil & Gas Spot Prices

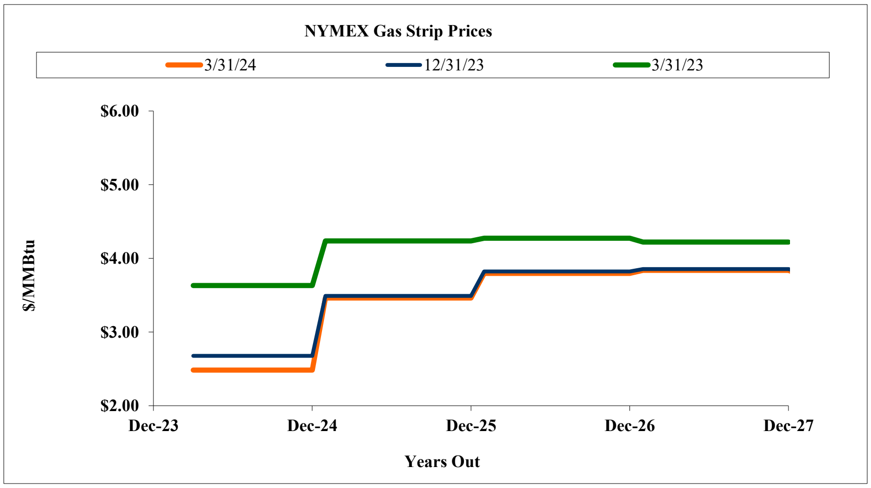


Figure 2: Natural Gas (Henry Hub) Strip Prices

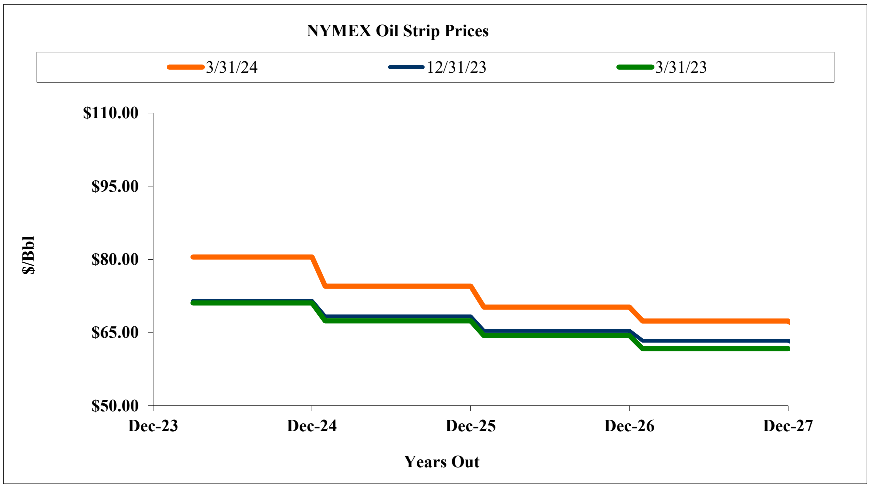


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q1 2024, the total U.S. rig count (as measured by Baker Hughes) was flat QoQ, but down 18% YoY. The U.S. total natural gas rig count finished the quarter at 112 rigs, down from 120 rigs running at the end of Q4 2023. Year-over-year, the U.S. total natural gas rig count finished down 30%. The U.S. total oil rig count was flat during Q1 2024, moving from 500 rigs at the beginning of the quarter to 506 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down 15% or ~86 rigs.

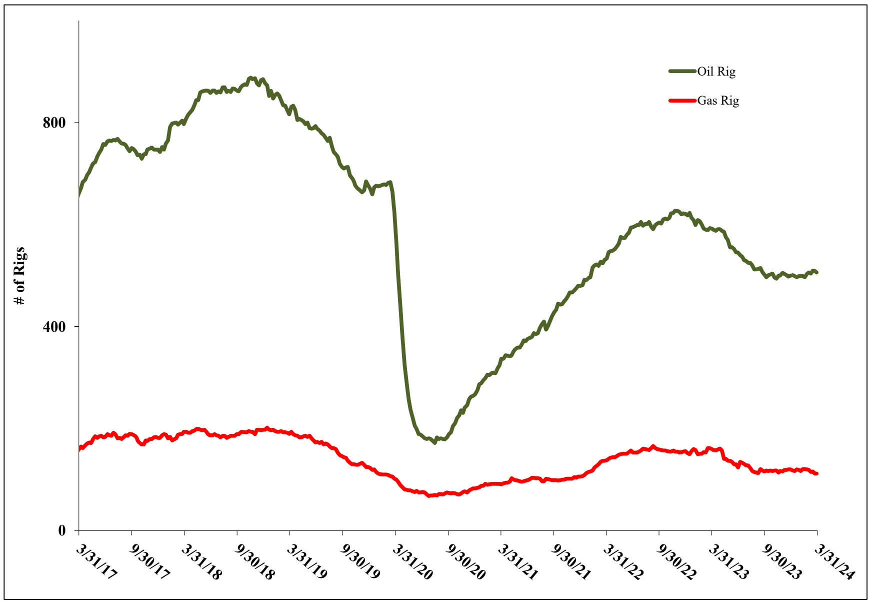


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

Upstream M&A accounted for ~$51 billion in transacted deal value during the quarter, the best first quarter ever. Large scale consolidation in the upstream space continues to be the dominant theme over the last ~12 months. The quarter was headlined by 1) Diamondback's $26 billion purchase of Endeavor and 2) Chesapeake's $11.5 billion purchase of Southwestern. The Permian Basin remained the forefront of deal activity, accounting for ~60% of the total transaction value during the quarter. Corporate consolidation in the upstream space is expected to continue and A&D activity is also likely to pick up over the coming years and consolidators rationalize assets post-merger integrations.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and National Bank of Canada.

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EnCap Energy Capital Fund XI

Section III: Portfolio Companies

1. SILVERBACK II
2. ENDURING IV
3. SABLE BAY
4. BLACK SWAN
5. FORGE II
6. XCL
7. PIEDRA IV
8. SILVERADO
9. RAISA III
10. PALOMA V
11. SPECIAL OPPORTUNITIES
12. ARBOR GAS
13. GRAYSON MILL II
14. GRENADIER III
15. PEGASUS II
16. ENCAP MINERALS
17. VERDUN II
18. SABALO II
19. PALOMA VI
20. DOUBLE EAGLE IV
21. TUMBLEWEED IV
22. EARTHSTONE
23. M6 MIDSTREAM
24. GRAYSON MILL III

Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.

2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

   The reserve categories were generally risked as follows:
   a. PDP – no discount applied
   b. PDNP – a 20% discount applied
   c. PUD – a 40% discount applied
   d. Probable – a 80% discount applied
   e. Possible – a 90% discount applied

   The average NYMEX strip prices by year as of March 31, 2024 were as follows:

	$/BO	$/MMBTU
2023	80.49	2.49
2024	74.53	3.46
2025	70.22	3.80
2026	67.36	3.84
2027+	65.52	3.77

   Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

4) Forge II is valued based on the expected indemnity holdback per the terms of their sale agreement and remaining mineral acreage and ORRI's valued using a cash flow multiple of actual trailing 12 month cash flow.

5) Black Swan is valued as follows:

   a. Remaining mineral acreage and ORRI's valued using a cash flow multiple of actual trailing 12 month cash flow

b. Expected indemnity holdback per the terms of the sale agreement

6) Piedra IV is valued as follows:

   a. Remaining mineral acreage and ORRI's valued using a cash flow multiple of actual trailing 12 month cash flow

   b. Expected indemnity holdback per the terms of the sale agreement

7) Permian Resources Corporation (NYSE: PR) 22,825k common units valued at the quarter end share price of $17.66/share.

Note: Valuation assumptions 1) through 7) as presented above apply to all investments currently held by Fund XI. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.

8) Non-restricted public securities are valued at the quoted price at the end of the quarter.

9) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.

10) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).

11) Redeemable preferred securities are valued at the face amount of the issue plus accrued dividends (less any reserve for uncollectible amounts).

12) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.

Silverback Exploration II, LLC

Company Description

Silverback Exploration II ("Silverback II") is a privately-held, San Antonio-based independent oil and gas company. The Silverback II management team is largely made up of individuals from Silverback Exploration I ("Silverback I"), a highly successful Fund IX portfolio company, and will be led by Steve Lipari (CEO), David Frye (VP of Land) and Jon Conaway (VP of Exploration). In addition to working together at Silverback I, each management team member also gained substantial experience and contacts in the industry from past roles at companies such as EOG Resources, Matador Resources, Newfield Exploration and Vitruvian Exploration. Additionally, George Young Jr. (former CEO of Silverback I) will act as an advisor in Silverback II.

Silverback II intends to employ a strategy very similar to that of Silverback I by leveraging its deep technical skills and experiences and extensive relationships to pursue unconventional projects through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing efforts and (iii) farm-ins or joint ventures with operators whose large leasehold positions exceed their ability to timely develop and maintain their acreage. Initially, the team will focus on seeking out proprietary, privately-negotiated opportunities and thus are targeting areas in which they have the most experience and contacts, primarily the Permian Basin and South Texas.

Transaction Summary

In June 2017, Fund X committed $243 million, Fund XI committed $243 million and management committed $14 million, providing a total equity commitment of $500 million to Silverback II. In August 2018, Fund X's commitment was transferred to Fund XI as a means to manage Fund X's overall commitment level. Fund XI reimbursed Fund X for start-up costs incurred to date plus interest at 8%. The investment is structured in the form of common equity with Fund XI receiving 97.2% of distributed cash until an 8% IRR and 1.15x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On November 10, 2021, Silverback II closed the acquisition of EOG Resources' core Northwest Shelf assets in New Mexico for total consideration of $38.6 million. The assets consist of ~40,000 net acres with ~$15 million of PDP PV-10 value (net of P&A liabilities) at signing. Additionally, the assets have existing midstream and SWD infrastructure.

The Northwest Shelf is an established vertical play that has seen a recent increase in activity as operators adopt horizontal drilling techniques with enhanced completions. Management has identified numerous greenfield development locations with attractive drilling economics.

Recent Events

During the first quarter, Silverback monitored its operated and offset well results. The company continued to buildout critical infrastructure necessary for future drilling and plans to run a modest development program in the second half of 2024.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
July-17	$199,586	$0	$174,922	$174,922	0.88x	N/A

Enduring Resources IV, LLC

Company Description

Enduring Resources IV is a privately held, independent oil and gas company based in Denver, CO. The company is led by the former management team of Westport Resources, a publicly traded independent that sold to Kerr-McGee in 2004 for $3.4 billion. Additionally, management is substantially the same team from Enduring I & II, which were both highly successful EnCap entities. After its formation in 2004, Enduring I built asset bases in East Texas, South Texas, and the Rockies. The company exited the majority of its assets through three major individual sales: a $603 million sale of its East Texas properties to Cabot Oil & Gas (NYSE: COG) in August 2008; a $1.325 billion sale of its South Texas/Eagle Ford Shale assets to a 50/50% joint venture between Talisman (NYSE: TLM) and Statoil (NYSE: STO) in December 2010; and a $43 million sale of its East Texas Robertson County assets in February 2011. Enduring I generated a 41% IRR and a 2.5x ROI on $162 million invested for Fund V and a 333% IRR and a 2.3x ROI on $42 million invested for Fund VII. Following its inception in 2011, Enduring II pursued multiple projects in West Texas and the Rockies but ultimately focused its efforts on the Southern Midland Basin, where it amassed 63,000 net acres in Reagan and Irion counties and drilled over 50 operated horizontal wells with four rigs running at the time of the sale. In 2014, the company sold this asset for $2.5 billion to an affiliate of American Energy Partners and generated a 68% IRR and 2.9x ROI for both Fund VII and Fund VIII on $106 million and $170 million of invested capital, respectively. The company will execute a strategy similar to the one deployed in Enduring I & II, whereby Enduring IV will build a compelling acreage position in one or more onshore U.S. basins through a combination of acquisitions, greenfield leasing, and farm-ins. The team will then rely on its proven technical and operating expertise to execute a development program utilizing optimized drilling and completion techniques to create value.

Transaction Summary

Enduring IV was formed in June 2017 with a $1.0 billion commitment consisting of $475 million from Fund X, $475 million from Fund XI, and $50 million from management. In Q1 2018, the company increased its commitment to $1.05 billion consisting of $475 million from Fund X, $475 million from Fund XI, $52.5 million from management, and $47.5 million from an affiliate of Avista Capital Partners. The investment is structured as common equity, with EnCap receiving a proportionate share of the distributions until simple payout is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q1 2018, Enduring IV closed on its previously announced acquisition of WPX Energy, Inc.'s (NYSE: WPX) San Juan Basin oil assets for $700 million that was substantially underpinned by PDP value. The acquired assets encompass ~93,000 net acres in the prolific core of the oil window with ~22.0 Mboe/d of production (74% liquids). Enduring IV will look to develop its inventory of highly economic locations with modern completions to drive value.

After initiating development in July 2018, the company experienced significant operational issues and delays related to the required infrastructure build-out, which led to cost overruns and mixed results on its first series of Mancos oil horizontal wells. In response, management slowed down its development pace and overhauled its field operations team and D&C protocols. However, this delay in development also resulted in increased midstream obligations.

In early 2020, Enduring IV halted all development plans (with 6 DUCs outstanding) as commodity prices declined. The company focused its efforts on reducing operating expenses, cutting overhead costs, and paying down debt. The company successfully paid down considerable debt over the course of 2020 and 2021 and benefitted significantly from its implemented cost reductions.

In December 2023, Enduring IV acquired DJR Energy, a private San Juan Basin operator, in a sign and close merger transaction. Per the terms of the agreement, legacy Enduring IV investors own 80% of the pro forma entity, while the acquired party owns 20% of the pro forma entity. EnCap retained Board control following close. As part of the transaction, legacy Enduring and DJR shareholders invested cash into the business to properly capitalize the company for continued growth ($27 million net to each of Fund X and Fund XI).

This transaction adds considerable production, cash flow, and core, oil-weighted inventory that strengthens the outlook for all investors. The transaction is also accretive to cash flow and inventory metrics for legacy Enduring IV investors. On a combined basis, the company is producing ~40 MBoe/d across ~560,000 net acres in the San Juan Basin. Longer term, we believe this acquisition will make Enduring IV a more attractive exit candidate due to the significant scale of the business and its runway of attractive drilling inventory.

Recent Events

Enduring IV plans to run a one rig program in 2024 while maintaining a modest reinvestment rate. The current capital plan is expected to deliver meaningful production and cash flow growth year-over-year. We expect that the company will be in a position to reinitiate distributions from cash flow in 2025.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
July-17	$298,913	$16,511	$346,525	$363,036	1.21x	N/A

Sable Bay Energy, LLC

Fully Realized

Company Description

Sable Bay Energy, LLC is a privately-held, Houston-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets within the U.S. The Sable Bay management team is led by Don Dotson (CEO), Doyle Adams (VP Geology), Eric Alfuth (CFO), Don Adams (Executive VP Land), and Matthew Hoops (VP Land). Mr. Dotson is currently the President & COO of Plantation V. He joined Plantation II in 2004 as COO and managed all technical and operational functions through the successful sales of Plantation II, Plantation III, and Plantation IV. The Sable Bay management team supplements Mr. Dotson's experience of leading private equity companies with a highly capable, young technical group with backgrounds of evaluating shale plays on behalf of larger organizations.

The initial strategy will be to capture a meaningful acreage position in an area with known hydrocarbon production. The team will look for opportunities with large resource potential that (i) are located in areas with producing vertical wells from formations previously untested horizontally, (ii) are located in areas with producing horizontal wells, but of older vintage where there is upside in modern completion techniques, and (iii) have multi-bench potential. In addition, the team will look for opportunities with existing infrastructure in place or a clear path to future infrastructure build out. Sable Bay will focus on operated positions and evaluate the deals with an exit in mind and a clear understanding of the potential buyer universe.

Transaction Summary

In August 2017, Fund XI committed $247.9 million and management committed $2.1 million, providing a total equity commitment of $250.0 million to the company. The investment is structured in the form of common equity with Fund XI receiving 99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In Q4 2018, EnCap and management made the decision to wind down the company due to the inability to capture a compelling asset in current market conditions.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-17	$5,950	$0	$0	$0	0.00x	N/A

Black Swan Oil & Gas, LLC

Substantially Realized

Company Description

Black Swan is a privately-held, Oklahoma City-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. Black Swan is led by Ian Yingling (CEO), Jason Kneedy (EVP Exploration), David LaLonde (CFO), Jeff Brooks (VP - Land), and Kathy Brotherton (VP – Business Development). Mr. Yingling has 16 years of industry experience and has previously held leadership positions within reservoir and operations engineering functions as well as business development at many well-respected companies including Occidental Petroleum Corporation (NYSE: OXY), Dominion Energy Inc./HighMount (NYSE: D), Continental Resources, Inc. (NYSE: CLR), Warwick Energy Group, and Sherman Energy. Mr. Kneedy, began his career at Chesapeake Energy Corporation (NYSE: CHK) in 2004, and most recently served as Advisor – US Risk Capital, Technical, Strategy & Operations, where he oversaw the generation and evaluation efforts for all new play opportunities and served as the lead geologic representative for the company's strategic planning and business development divisions. Mr. LaLonde has over 15 years of corporate finance and transaction experience in the energy industry, having most recently served as the CFO of Riley Permian. Prior to Riley Permian, Mr. LaLonde was a Partner at Petro Capital where he co-managed E&P activities of the firm. Mr. Brooks has over 17 years of land experience across all the major L48 basins from his time at Chesapeake, where he most recently served as the Director of Land for Business Development and Exploration. Mrs. Brotherton has over 35 years of business development and land experience, most recently serving as Director of Land and Business Development for J. Cleo Thompson, where she was instrumental in J. Cleo Thompson's growth and ultimate sale of its Delaware Basin assets to Oxy for >$1.0 billion in October 2016.

Transaction Summary

In October 2017, Fund XI committed $248.5 million and management committed $1.5 million, providing a total equity commitment of $250.0 million to the company. In July 2021, Fund XI expanded its commitment to Black Swan by $249.4 million and management expanded its commitment by $0.6 million, providing a pro forma total commitment of $500 million. The investment is structured in the form of common equity with Fund XI receiving 99.5% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met.

In Q2 2021, Fund XI expanded its commitment from $250 million to $500 million to support the continued growth and development of the company's Midland Basin asset. Subsequently, in Q2 2022 Fund XI and Management expanded its commitment by an additional $50 million, providing a pro forma total of $550 million. EnCap believes the expanded commitment will leave the company well capitalized to capture various bolt-on acquisitions and fund the development of infrastructure to support the Company's operated development program.

Post Investment Activity

In June 2018, Black Swan acquired ~8,000 net acres in the Green River Basin as a part of the Bureau of Land Management's June lease auction in Wyoming. Lease terms for the acreage are extremely advantageous as they contain high NRIs (87.5%) and ten-year terms, which provide maximum development flexibility. Management targeted this area for its attractive well results from Southland, BP, and others, multi-zone potential, and low entry cost relative to other premier basins. Early wells in the basin have targeted the Lewis and Foxhills formations with more modern completion techniques yielding significant improvement in EUR. In Q3 2019 Black Swan opportunistically divested its position in the Green River Basin in order to focus its efforts on the highly compelling Midland Basin where the company has gained traction and is building a position.

In Q2 2021, Fund XI and Management expanded its commitment from $250 million to $500 million to support the continued growth and development of the Company's Midland Basin asset. Subsequently, in

Q2 2022 Fund XI and Management expanded its commitment by an additional $50 million, providing a pro forma total of $550 million. EnCap believes the expanded commitment will leave the company well capitalized to capture various bolt-on acquisitions and fund the development of infrastructure to support the company's operated development program.

On June 12, 2023, EnCap closed on the previously announced sales of Piedra III, Piedra IV, PetroLegacy and Black Swan's operated and non-operated properties in the Northern Midland Basin to Ovintiv Inc. (NYSE: OVV) for a total consideration of $4.36 billion ($3.24 billion in cash and $1.12 billion in stock). The equity consideration was priced off of a 5-day VWAP as of the 3/31/2023 close ($35.23 / share), which equates to 31.8 million shares of OVV common stock. After debt payoff, transaction fees, and post-closing adjustments, $2.3 billion was distributed to EnCap, representing a 1.72x cash ROI on $1.5 billion equity invested.

The combined assets sold totaled ~65,000 net acres primarily in Martin and Andrews counties with net production of ~60 MBoe/d (85% oil). In addition, all companies retained additional asset value in mineral and royalty interests that were excluded from the transaction.

Black Swan contributed ~20,800 net acres located in Martin County, TX to the sale and received ~$1.0 billion in cash and ~13.1 million OVV shares at closing. The transaction generated a cash on cash realized return net to Fund XI of 2.0x ROI.

During 3Q 2023, EnCap sold 15 million OVV shares through a secondary offering at an effective share price of $45.41/share. In aggregate, the sale generated ~$535 million in proceeds net to Funds IX, X, and XI. Black Swan's allocated shares represent ~6.2 million of the shares sold and generated ~$207 million in proceeds net to Fund XI.

During 4Q 2023 and early 2024, EnCap sold its remaining ~16.8 million OVV shares through two separate secondary offerings at an effective share price of $43.96/share. In aggregate, the sales generated ~$738 million in proceeds net to Funds IX, X, XI. Black Swan's allocated shares represented ~6.9 million shares and generated ~$244 million in proceeds net to Fund XI. Additionally, Black Swan distributed $28 million from minerals cash flow, which represents ~$21 million in proceeds net to Fund XI. After the stock sale and minerals cash flow, Black Swan's cash on cash return is a 2.9x net to Fund XI.

Recent Events

During the quarter, Black Swan distributed ~$23 million from mineral cash flow (~$17 million net to Fund XI). The ~8,600 retained NRAs continue to see significant activity from OVV, and the company expects to continue making meaningful distributions until the asset is ultimately monetized. Additionally, Black Swan's retained an oil gathering system currently services Ovintiv, Diamondback, EOG, and SM Energy. Management continues to source additional third-party businesses. EnCap will continue to monitor the retained assets and look to exit opportunistically.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-17	$497,670	$1,482,836	$304,906	$1,787,742	3.59x	50.7%

Forge Energy II, LLC

Substantially Realized

Company Description

Forge Energy II, LLC is a San Antonio, Texas based independent oil and gas company. The management team consists of Barry Winstead (CEO), Danny Boone (Business Development), and Dan Weisel (CFO). Prior to Forge I, Management worked together in various roles at Burlington for more than 20 years, including 10 years together in senior management positions.

In February 2018, Forge I closed on the sale of its Delaware Basin assets to Oasis Petroleum, Inc. (NYSE: OAS) for $483.4 million in cash and 46.0 million shares. These assets included ~22,000 net acres and 3,500 Boe/d of production in Winkler, Loving, and Ward Counties, Texas. Forge I ultimately invested $524.9 million of equity, comprised of $279.7 million from Fund VIII, $105.0 million from Fund VIII Co-Invest, $128.2 million from Pine Brook, $5.3 million from Friends and Family, and $6.6 million from management.

At closing on February 14, 2018, after accounting for debt and other miscellaneous purchase price adjustments, Forge I received $436.9 million of cash proceeds from OAS, resulting in distributions to Fund VIII and Fund VIII Co-Invest of $233.0 million and $87.4 million, respectively, equating to a 0.8x cash-on-cash ROI net to each Fund. Additionally, OAS issued 46.0 million shares to Forge I. The waterfall was crystallized at $11.45/share (based on the 10-day VWAP as of May 15, 2018) and the remaining shares were distributed according to this valuation (~18.8 million shares distributed to Fund VIII and ~7.0 million shares distributed to Fund VIII Co-Invest). Overall, this is a strong result for Forge that was largely driven by Forge's ability to shift its strategy and deploy capital in the core of the Delaware Basin from 2016-2018.

In December 2017, Forge I formed Forge Interests, LP, an entity created to hold carved-out ORRIs from leases with NRIs in excess of 75% and mineral interests purchased by the Company. Forge Interests, LP holds 1,939 net royalty acres (normalized to a 12.5% royalty burden) in Winkler, Loving, and Ward Counties, Texas. We believe these non-cost bearing interest will likely represent meaningful future value for Forge I, which will further enhance the overall return net to EnCap.

Forge II will initially focus on the Delaware Basin, but will be opportunistic as it relates to other areas of focus. Per Management's desire to simplify the structure and governance of Forge II, Pine Brook and Friends and Family investors will not participate; Management and EnCap Fund XI will be the sole investors in Forge II at formation.

Transaction Summary

In June 2018, Fund XI committed $392.0 million and management committed $8.0 million, providing a total equity commitment of $400.0 million to the Company. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In November 2019, Forge II acquired ~2,000 net acres in the Delaware Basin from XTO Energy. Lease terms for the acreage are extremely advantageous as they contain high effective NRIs (83%) and is 100% HBP, which provide maximum development flexibility. Management targeted this area for its attractive well results from Felix II, Jagged Peak, Concho, and others, multi-zone potential, and Forge's past success in the area.

Also in November 2019, Forge II acquired ~200 net acres from Bill Pearl Productions, directly offset their existing position in the Delaware Basin.

In December 2020, Forge II acquired Occidental Petroleum's Red Bull South assets for a total purchase price of $112.2 million. These assets consist of ~26,500 net acres, located in Reeves and Pecos Counties, TX and the value of the acquisition was underwritten by PDP PV-10 value from 76 producing wells. The position is largely HBP and Management believes there is meaningful upside to be unlocked through already-identified operational optimization.

On May 11, 2023, Forge II signed a purchase and sale agreement to sell all operated and non-operated properties in Texas to Vital Energy, Inc. (NYSE: VTLE) and Northern Oil and Gas, Inc. (NYSE: NOG) for total consideration of $540 million in cash.

On June 30, 2023, Forge II closed on the previously announced transaction. Accounting for holdback and other closing adjustments, the transaction generated a cash on cash realized return net to Fund XI of 1.3x ROI at closing.

Recent Events

Forge II continues to retain a portfolio of royalty assets that were excluded from the sale to Vital Energy, Inc. These assets consist of ~5,200 NRAs, representing meaningful incremental value for the company that we will look to strategically monetize in the future.

Additionally, the company distributed $11.6 million net to Fund XI from cash on hand and royalty income in April 2024.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-18	$265,020	$360,052	$53,538	$413,590	1.56x	14.3%

XCL Resources Holdings, LLC

Company Description

XCL Resources is a privately held, Houston-based independent oil and gas company focused on the acquisition and development of liquids-rich basins in the United States. XCL is led by Gray Lisenby (CEO), Blake McKenna (President, EVP Operations), and Eric Matus (CTO). Mr. Lisenby was most recently SVP & CFO of Rice Energy ("Rice") and Rice Midstream Partners ("RMP"), where he was integral in the companies' rapid growth and value creation. In total, Rice completed over $4.0 billion in transactions, grew production from 50 MMcf/d to 1.3 Bcf/d ($1.8 billion capital budget in 2017), and outperformed almost all E&P peers from IPO to exit (sold to EQT for ~$10.0 billion in 2017). Mr. McKenna was most recently Senior Engineer at Vitesse, where he led engineering efforts and closed over $300 million of non-op Bakken acquisitions. Prior to Vitesse, Mr. McKenna spent seven years at EOG across all major engineering disciplines in multiple basins, including the Bakken where he managed over 45,000 Boe/d of production. Mr. Matus was previously Senior Engineer at Vitesse, where he pioneered a system to employ "big data" in the evaluation of individual DSUs basin-wide by integrating production, D&C, and geologic data. Previously, Mr. Matus worked at EOG and was instrumental in prototyping many of EOG's proprietary iApps. XCL intends to leverage its diversified team experience to be opportunistic as it employs a data-driven, acquire & develop strategy with its initial focus in the Williston Basin. Focusing on risk-adjusted returns, Management will utilize its deep technical expertise across the value chain to identify opportunities that possess asymmetric risk/reward opportunities.

Transaction Summary

In July 2018, Fund XI committed $394.0 million, Rice Investment Group committed $20.0 million, other investors committed $1.1 million, and management committed $5.1 million, providing a total equity commitment of $420.2 million to the Company. The investment is structured in the form of common equity with Fund XI receiving 93.75% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In December 2019, XCL's commitment was expanded by $200.0 million ($191.2 million net to Fund XI) to $620.2 million ($585.2 million net to Fund XI) to fund the closing of a significant transaction in the Uinta Basin and to provide dry powder for future capital needs.

Post Investment Activity

Following inception, XCL evaluated multiple basins for high quality development opportunities. The Company entered the Bakken in Q1 2019 through a series of small acquisitions, ultimately capturing ~2,500 net acres (100% HBP) in an attractive area at a low cost basis. Due to a wide bid/ask spread between the Company and offset operators, XCL was unable to build adequate scale and shifted its focus to other potential opportunities. XCL sold this asset in Q2 2023 for a 1.4x ROI on minimal capital deployed.

In December 2019, XCL closed on the acquisition of ~44,500 net acres in the Uinta Basin with ~9.2 MBoe/d of production for $625 million. The acreage is >90% HBP and 78% operated with attractive 80% NRIs. Additionally, the position is highly contiguous and configured for all two-mile DSUs. XCL was attracted to the overpressured, multi-stacked, and oil-driven pay on this asset, which was highly delineated by 24 producing, horizontal wellbores. Management will seek to create value by developing its highly economic inventory in a cost-efficient manner using optimized completion techniques.

After closing its acquisition, XCL initiated its development program with the initial goal of confirming the viability of slickwater completions and optimal well spacing. The company completed three wells with slickwater in Q1 2020 that have met expectations to date. In Q4 2020, the company completed its first 5-well spacing test, and in late 2021, XCL completed its first 9-well spacing test. With continued success, XCL then shifted to full cube development across its asset base.

Recent Events

XCL continues to bring significant value forward through large-scale development, and the company continues to execute at a high level with strong well results and cost control. In Q1 2024, XCL brought 9 wells online driving net oil production to ~40 Mbo/d. During 2024, XCL plans to run a three-rig program and expects to begin a distribution program towards the end of the year. Additionally, the company has retained an advisor to explore the sale of the business later this year.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-18	$585,245	$83	$1,336,537	$1,336,620	2.28x	N/A

Piedra Energy IV, LLC

Substantially Realized

Company Description

Piedra IV is a privately held, Midland-based oil and gas company managed by Chip Smith and Robert Beecherl that is focused in the Permian Basin. The team initially partnered with EnCap Fund VII in Piedra I and II. In Piedra I, the company sold Wolfberry assets to Berry Petroleum for $123 million, providing Fund VII with a 2.4x ROI and 47% IRR on $45 million invested. In Piedra II, the company sold 7,668 acres primarily in Martin County, Texas to Athlon for $170 million net to Piedra II. After accounting for debt repayment and other holdbacks, the company distributed ~$106 million net to Fund VII. Piedra II also sold 739 net acres in Reeves and Pecos Counties, Texas to Diamondback for ~$31.5 million in gross proceeds, or ~$20.8 million net to Fund VII. This acreage was a tag-along sale to Diamondback's acquisition of Brigham Resources, which closed in February 2017. Overall, Fund VII realized a 3.2x ROI and 48% IRR. Prior to Piedra, Mr. Smith spent 18 years focused on property acquisitions and exploration and was formerly the founder/co-founder of Charter Royalty Company, Parsley & Smith and Vecta Technology. Mr. Beecherl spent 19 years focused on acquisitions and divestments at Vecta Technology, Sugarberry Oil & Gas and Verdad Oil and Gas. Piedra III was founded in May 2014 and has invested substantially all of its $340 million total equity commitment capturing an attractive minerals portfolio in the core of the Midland and Delaware basins and leasehold position in the Midland basin, substantially all of which remain unrealized. Given Piedra III's limited capacity for incremental investment, Piedra IV was formed in August 2018 to pursue additional opportunities. The Piedra IV management team is led by the same management team as Piedra III, which includes the Piedra founders, Chip Smith and Robert Beecherl, and Sam Beaufait (CFO) and Chris Ryden (Business Development), all with strong track records in value creation in the Permian Basin. Piedra IV will maintain the same dual-track strategy of 1) pursuing exploration and development of lower risk resource plays with scalability and upside potential and 2) acquiring mineral interests primarily in the Midland and Delaware basins.

Transaction Summary

Fund XI formed a limited liability company with Piedra IV in August 2018, committing $240 million. The management team committed $12 million providing total capital committed of $252 million to the company. The investment takes the form of common equity with Fund XI receiving 95% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in Piedra Energy IV, LLC, while for tax purposes mineral related interests will be held in Rock River Minerals IV, LP (both entities collectively referred to as "Piedra IV"). EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Piedra IV initially focused its efforts on acquiring mineral interests through Rock River Minerals IV ("RRM IV"). Since August 2018, the company has captured ~8,700 net royalty acres ("NRA") (normalized to 1/8th royalty rate) primarily in the heart of the Midland Basin, where activity remains robust. Due to the nature of mineral interests, there are no additional capital requirements or operating expenses associated with the assets after their initial purchase. Furthermore, there is no risk of the interests expiring, as is the case with traditional leasehold acquisitions.

During the first quarter of 2022, the company closed on the acquisition of 2,913 net leasehold acres in Andrews County. Management has a deep understanding of the area and plans to pull meaningful value forward through the drill bit. The position remains prospective for horizontal development in multiple benches, including the Lower Spraberry, Middle Spraberry, and Wolfcamp B.

On June 12, 2023, EnCap closed on the previously announced sales of Piedra III, Piedra IV, PetroLegacy, and Black Swan's operated and non-operated properties in the Northern Midland Basin to Ovintiv Inc. (NYSE: OVV) for total consideration of $4.36 billion ($3.24 billion in cash and $1.12 billion in stock). The equity consideration was priced off of a 5-day VWAP as of the 3/31/2023 close ($35.23/share), which equates to 31.8 million shares of OVV common stock. After debt payoff, transaction fees, and post-closing adjustments, $2.3 billion was distributed to EnCap, representing a 1.72x cash ROI on $1.5 billion equity invested.

The combined assets sold totaled ~65,000 net acres primarily in Martin and Andrews Counties with net production of ~75 Mboe/d (85% oil). In addition, all companies retained additional asset value in mineral and royalty interests that were excluded from the transaction.

Piedra IV contributed ~2,900 net leasehold acres in Andrews County, TX to the sale and received ~$116 million in cash and ~1.6 million OVV shares at closing. The transaction generated a cash on cash realized return net to Fund XI of 0.6x ROI.

During Q3 2023, EnCap sold 15 million OVV shares through a secondary offering at an effective share price of $45.41/share. In aggregate, the sale generated ~$535 million in proceeds net to Funds IX, X, and XI. Piedra IV's allocated shares represent ~746 thousand of the shares sold and generated ~$32 million in proceeds net to Fund XI.

During Q4 2023 and early 2024, EnCap sold its remaining ~16.8 million OVV shares through two separate secondary offerings at an effective share price of $43.96/share. In aggregate, the sales generated ~$738 million in proceeds net to Funds IX, X, and XI. Piedra IV's allocated shares represented ~834 thousand shares and generated ~$35 million in proceeds net to Fund XI.

Recent Events

Piedra IV continues to manage its portfolio of ~8,700 NRAs in the Permian Basin (~8,400 NRAs in the Midland Basin and ~300 NRAs in the Delaware Basin). All of the acreage continues to be de-risked by XTO Energy, Pioneer, Endeavor, Diamondback, and other well capitalized companies. Current monthly royalty income is ~$3.0 - $4.0 million, and given the current market conditions, we expect cash flow to grow modestly into 2024.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-18	$249,524	$234,583	$235,129	$469,712	1.88x	22.9%

Silverado Oil & Gas LLC

Fully Realized

Company Description

Silverado Oil & Gas LLC ("Silverado") is a privately-held, Woodlands, TX-based company focused on pursuing large-scale acquire and exploit opportunities with an initial focus on the Permian, Eagle Ford, Williston and Anadarko basins. Silverado is led by Larry Massaro (CEO) and Trevor Reuben (CFO). Massaro and Reuben have worked together for a number of years and most recently served as CFO and VP of Corporate Development, respectively, at Newfield Exploration ("Newfield"), where they led the financial, business development and strategic aspects of the company prior to its $7.7 billion sale to Encana in February 2019. Massaro and Reuben are initially joined by ten other individuals, all of whom worked with them at Newfield. The senior-most individuals are Ed Haas and Luis Faya, two engineers who will oversee Silverado's operational and reservoir engineering efforts, respectively. Haas most recently served as VP of Production at Newfield, where he was responsible for managing 35 professional and 400 field operations staff, operating 4,000 wellbores and helping implement Newfield's capital and operating budget. Faya most recently served as the Technical Director of Corporate Development at Newfield, where he led A&D, M&A and NAV technical evaluations for asset, corporate and new venture opportunities. The remaining individuals span the disciplines of drilling, marketing, finance, reservoir engineering and geology.

Silverado plans to pursue large acquire and exploit opportunities with an initial focus on the Permian, Eagle Ford, Williston and Anadarko basins. Targeted assets will have a PDP component along with substantial upside potential and the ability to employ scale and integration to optimize full-field development. Management believes there are a number of strategic assets that are currently available for sale (or will soon become available) due to industry participants being forced to live within cash flow and direct capital budgets toward a subset of their existing asset base, leading them to divest quality assets. After the capture phase, Management is prepared to own and operate assets for an extended period of time if necessary, extracting value through a multi-year exploitation plan with a rigorous focus on financial and operational discipline, creating a going-concern business that does not rely on external funding.

Transaction Summary

In March 2019, Fund XI committed $492.5 million and management committed ~$6.4 million providing a total equity commitment of ~$498.9 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98.7% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a gradual basis as additional return hurdles are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q3 2021, EnCap and management made the decision to wind down the company due to the inability to capture a compelling asset in current market conditions. The wind down was completed in Q4 2021.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-19	$15,813	$880	$0	$880	0.06x	(56.1)%

Raisa III Holdings, LLC

Fully Realized

Company Description

Raisa III is a privately held, Denver-based independent oil and gas company focused on building an attractive non-operated asset base through acquiring small non-operated working interests and mineral interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. The Raisa III management team is led by the same individuals as Raisa II and consists of Luis Rodriguez (CEO), Casey Harless (VP – Land), Jeremy Cook (CFO), and Ayman Kaheel (VP – Data Analytics). Raisa II was founded in April 2016 and has invested $275 million out of its $300 million 8/8ths equity commitment capturing an attractive non-operated working interest and minerals interest portfolio in the core of the DJ, Delaware, Anadarko, and Williston.

Raisa III will employ a similar strategy of acquiring small non-operated working interests and mineral interests in the core of de-risked basins which demonstrate the most economic drilling opportunities in the country. The Raisa team performs intense geologic and engineering analysis to identify the high-graded sections under the best and most efficient operators, generating a significant competitive advantage versus small local competitors. Management targets tier-one acreage in heavily delineated areas of highly economic basins, which helps to mitigate geological and engineering risk and to benefit from timely development of acquired acreage.

Transaction Summary

In May 2019, Fund XI committed $98.0 million and management committed $2.0 million, providing a total equity commitment of $100 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

During the 4th quarter of 2021, we successfully closed the sale of Raisa Energy III, LLC to Savitar Energy Holdings, LLC, a company formed by Ares and Citadel. Net to EnCap, $8.1 million of cash proceeds to Fund XI were received.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-19	$13,132	$8,069	$0	$8,069	0.61x	(19.8)%

Paloma Partners V Holdings, LLC

Fully Realized

Company Description

Paloma V was formed in May 2020 and is led by Chris O'Sullivan (President), Mark Gabrisch (EVP Land), Scott Smith (EVP BD), Bobby Poirrier (CFO), and Doug Genrich (COO) (collectively "Management"). Management has a long track record of value creation with EnCap across multiple entities dating back to 1998. Paloma V's initial strategy consisted of capitalizing on distressed opportunities in the upstream space arising from a combination of significant industry distress and capital scarcity. Between inception and late 2020, the team evaluated a wide range of situations, but Management ultimately concluded that its strategy was challenged due to an unexpected willingness by bondholders of distressed companies to support entrenched management teams through recapitalizations, management retention, and full or partial equitizations. In addition, bid/ask spreads were a common hurdle.

In late 2020, Paloma V shifted its strategy to focus on acquiring a diversified portfolio of rent/royalty payments from surface owners who have contracted their land to operators for solar installations and wind turbines. Concurrent with the strategy shift, Paloma V re-branded to Paloma Solar & Wind, LLC ("PSW" or the "Company") and hired two key individuals with prior experience in this strategy. Typical contracts between surface owners and operators have 20-40 year primary terms with extensions, and PSW will focus on contracts with significant term remaining that are also underpinned by modern, large scale, and high quality generation assets where the operators have invested extensive upfront capital. The opportunity set is a highly fragmented market with many small acquisitions involved to achieve critical scale. This effort will require an experienced ground game to facilitate transactions with surface owners throughout the Lower 48, and the Paloma team is uniquely positioned to execute based on its proven ability to deploy ground game leasing in prior successful Paloma entities. After the accumulation phase, PSW will look to divest an attractive portfolio of low risk, long duration yield to large institutions or via a securitized product offering. Overall, we believe this platform is relatively unique in the institutional space at this scale, but the strategy can deliver compelling full-cycle returns upon successful execution of the company's plan.

Transaction Summary

In May 2020, Fund XI committed $196.0 million to Paloma V. Management committed $4.0 million, providing a total equity commitment of $200.0 million to the company. As part of the strategy shift to PSW, EnCap transferred $10.0 million of its existing commitment to EnCap Energy Transition Fund I in March 2021. The investment will be structured in the form of common equity with Fund XI and ETF receiving 98% of distributed cash until a 10% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In February 2022, EnCap signed and closed the sale of the PSW platform to Queensland Investment Corporation ("QIC") for $47 million. In February 2023, EnCap received two thirds of the indemnity holdback and expects to receive the final holdback in August 2023 before winding down the company by year-end.

Over the short lifespan of PSW, the company acquired an attractive and diversified portfolio of solar and wind royalties. PSW also made significant offers for royalty streams on several large scale solar projects but was unable to meet the asks. The PSW Board decided to internally run a strategic alternatives process in Q4 2021 after recognizing the difficulties in executing PSW's business plan at scale. The primary challenges included: (i) the entrance of several well-capitalized and aggressive competitors with exceptionally low cost of capital, (ii) high brokerage costs required to chase ground game deals, and (iii) general unfamiliarity with the asset class made it difficult to secure a bank loan or to place a securitization. Overall, PSW's strategy had merit, and the exit market came to fruition. However, the arbitrage between entry and exit valuations became too compressed to achieve target returns, which led to EnCap's decision to sell the platform.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-20	$41,850	$45,499	$0	$45,499	1.09x	13.0%

Special Opportunities Capital, LLC

Substantially Realized

Company Description

The purpose of Special Opportunities Capital ("SOC") is to opportunistically invest in unique public securities or private investments that EnCap believes can deliver compelling returns. The entity may invest in a combination of common equity, preferred equity, and public bonds over time with varying strategies. These strategies may include making a highly liquid passive investment, participating in a recapitalization, taking a controlling interest, or taking an entity private. We believe the recent period of significant distress and volatility, coupled with severe capital scarcity in the industry, will lead to various opportunities to invest across the capital structure of select entities. As incremental opportunities materialize, SOC's commitment may be expanded to accommodate future investments.

Transaction Summary

In November 2020, Fund XI provided an initial commitment of $50 million. In March 2021, the commitment was expanded to $75 million to gain additional exposure to the current investment.

Post Investment Activity

During 4Q 2020 and 1Q 2021, SOC deployed $53 million to establish a meaningful ownership position in Denbury Inc. (NYSE: DEN) at an average share price of ~$28.00/share. In September 2020, DEN emerged from bankruptcy and subsequently traded at a public enterprise value equivalent to our internal estimate of PDP PV-10. As such, the public market placed little to no value on DEN's vast CO2 infrastructure, which includes >1,000 miles of pipeline that could transport 800 MMcf/d of CO2 along the Gulf Coast. EnCap believed the market would recognize the value of this infrastructure given its highly strategic proximity to the Gulf Coast industrial complex for carbon capture, utilization, and sequestration ("CCUS") and ongoing efforts by the DEN management team to position the company as a leader in CCUS. By November 2021, the market valued the CCUS business at approximately $2.5 billion with the anticipation of enhanced 45Q via the Build Back Better Act. At this time, SOC began selling shares and ultimately exited its position in 1Q 2022 at an average share price close to $80.00/share. SOC realized ~$136 million in proceeds and achieved a 2.6x ROI.

In November 2021, Special Opportunities closed on a $7 million investment in Encino Environmental Services. The investment represents a non-controlling ownership (25%) in the business alongside BP Energy Partners who is the primary sponsor. Encino is a Houston-based company focused on methane monitoring and greenhouse gas reduction. The investment provides a compelling opportunity to build a company which can offer a full suite of services related to the emissions problem in the industry.

In February 2022, Special Opportunities made a follow-on investment to the Encino platform through Context Labs ("CXL") in partnership with BP Energy Partners. In total, the investment in CXL was $16.3 million with Special Opportunities taking 25% of the investment (~$4.0 million). CXL is a Boston based software developer that provides ESG data analytics and insights. CXL will serve as the software offering in the Encino suite of products going forward.

Recent Events

Encino continues to focus on providing methane monitoring and emissions solutions to its growing customer base. In addition to its engine testing business and its product line of monitoring cameras, the company is in the early stages of commercializing a satellite venture with the Spanish company Satlantis.

The Context Labs ("CXL") business continues to offer a differentiated software product, helping companies to verify the emissions attributes for their commodity. CXL has been aggressively adding customers and could potentially raise a round of growth equity financing at a premium valuation in the near term.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-20	$68,033	$135,774	$15,749	$151,523	2.23x	137.3%

Arbor Renewable Gas LLC

Company Description

Arbor Renewable Gas Holdings, LLC ("Arbor" or the "Company") was formed in February 2021 and is led by Tim Vail (CEO), Brent Gwaltney (CFO), Ned Crady (Corporate Development & GC), and Trey Fielder (Head of Site Development) (collectively "Management"). Mr. Vail has an impressive track record and was previously Founder and CEO of G2X Energy (methanol producer), CEO of Synthesis Energy Systems (coal gasification), and Director of Commercialization for Fuel Cell Development at General Motors. Management has a very strong energy background with significant experience developing, constructing, and managing large scale industrial/energy projects.

Arbor's focus is on the production of renewable syngas, which can then be used to produce renewable gasoline, green hydrogen, and sustainable aviation fuel. Management has a close relationship with SunGas/GTI (provider of proprietary gasifier technology) and has negotiated an exclusive arrangement for the use of the technology for the projects Arbor is focused on pursuing. Arbor's first planned project in Beaumont, TX is expected to produce ~1,000 bbls/day of renewable gasoline with a very low or negative carbon intensity score. Given the attributes of Arbor's gasoline, it is expected to qualify for meaningful environmental or tax credits under the LCFS, RFS, and 45Q programs. This investment required significant front-end diligence and will continue to be vetted with Management and industry experts. EnCap believes this investment has compelling risk/reward, and we intend to expose limited upfront capital in order to get the project "shovel ready" before bringing in a strategic partner or exploring an outright sale before deploying full development capital. Additionally, we believe Management represents a potential long-term partner to EnCap given its level of expertise in an emerging market with significant momentum.

Transaction Summary

In February 2021, Fund XI made a $13.5 million dollar commitment to Arbor alongside a $1.5 million commitment from management for a total equity commitment of $15 million to the company. This initial commitment was sized to capture the opportunity to partner with the Arbor team and to fund start-up costs while continuing extensive diligence. Subsequently, in July 2021, EnCap Energy Transition Fund I (45.8%) and Yorktown (6.1%) joined the investment group alongside Fund XI (45.8%), and Arbor's commitment was increased to $100 million (inclusive of management's $2.2 million commitment) to support the company's business plan. The investment is structured as common equity, with Fund XI receiving a proportionate share of the distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met.

In light of progress made since initially committing to Arbor, EnCap increased the commitment size to fund the initial train at Spindletop. In January 2023, Arbor's gross equity commitment was increased, from $100.0 million to $502.5 million, with EnCap managed funds comprising $450.0 million of the commitment ($250.0 million from EETF II, $125.0 million from EETF I, $75.0 million from EnCap Fund XI), $50.3 million from Mercuria, and $2.3 million from Arbor management.

Post Investment Activity

Shortly after closing, the company secured a highly strategic 53-acre site located at the confluence of low-cost and plentiful wood waste feedstock, rail and waterfront access, utility access, and critical CO2 infrastructure in Beaumont, TX ("Spindletop"). In addition to the first train, scheduled to reach commercial operations in early 2025, this site has the capacity for three additional trains that could be designed to produce syngas, renewable gasoline, sustainable aviation fuel, and/or green hydrogen. The site is construction ready, fully permitted, and Arbor has completed front-end engineering and design, providing clarity of capital costs for the initial train. Additionally, the company received its indicative carbon intensity score, based on detailed review of the company's processes, for both the California and European markets from third party consultants, and verified that its feedstock meets the standard to qualify for D-3 RINs under the EPA's Renewable Fuel Standard and the International Sustainability and Carbon Certification. Both verifications have contributed to derisking the environmental attribute component of the revenue stack.

Upon substantial completion of FEED, Arbor and EnCap are temporarily reducing the pace of development and capital deployment given current market factors. Specifically, the U.S. Environmental Protection Agency has been much slower than projected to issue Class VI permits for wells required to permanently sequester carbon dioxide. Arbor must sequester carbon dioxide to attain the carbon intensity score that underpins renewable gasoline economics. While Arbor continues to negotiate sequestration contracts, we expect that completion of the Class VI wells will be 12 to 24 months later than originally planned.

In the methanol market, global shippers are increasingly making commitments to decarbonize their vessel fleets through the use of green methanol as a fuel. We are optimistic about this attractive market opportunity, however, shippers are hesitant to enter into offtake agreements ahead of mandatory requirements. Based on Arbor's discussions with offtakers, offtake agreements are not expected to significantly increase until the 2026-2027 timeframe to match the in-service dates of methanol fueled vessels and strengthening mandates. Arbor is optimistic that its derisked Spindletop project will attract early movers in the methanol market and will continue to seek a long tenor, fixed price arrangement.

The macro environment for Arbor remains highly attractive; global regulatory and voluntary mandates are increasing and strengthening. Arbor and EnCap believe that the Spindletop project remains a leading solution for meeting the growing demand for global renewable fuels. Arbor continues to monitor the green methanol market as well as Class VI permitting process. The company will also continue to engage with both renewable gasoline and green methanol offtakers to match the commercialization of the project with the CCUS timing viability.

Recent Events

In Q4 2023, EnCap signed a letter of intent with a strategic, investment grade counterparty to explore a joint venture to build a gasification plant at the Spindletop site that will produce green syngas. In addition to being a joint venture partner, the counterparty would purchase the green syngas under a long-term, fixed price offtake agreement. The joint venture / offtake partner needs the carbon dioxide to remain in the product stream, eliminating the need for carbon sequestration, which has been the primary driver of delay at Spindletop.

During Q1 2024, the Arbor team worked diligently to respond to detailed technical and commercial due diligence with the counterparty. The initial exclusivity period has lapsed without reaching a commercial agreement. The counterparty has continuously reiterated its interest in a transaction but cited that its management team is preoccupied with larger scale M&A transactions, however, we remain hopeful that there will be a path forward once these transactions are completed. Recently, two other counterparties have engaged in acquisition discussions. If a commercial agreement does not materialize with the joint venture partner or other counterparties in Q2 2024, EnCap will consider writing down its investment in Arbor based on a lack of near-term commercial opportunities.

Valuation ($000's)

The investment in Arbor Gas is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-21	$44,381	$0	$44,381	$44,381	1.00x	N/A

Grayson Mill Energy II, LLC

Company Description

Grayson Mill Energy II is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill II management team is comprised of the same senior management team as Grayson Mill I. They have also added additional key personnel and support staff with a significant Bakken experience. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company's strategy in the Bakken.

Transaction Summary

In February 2021, Fund X posted a $150 million deposit to secure the acquisition of Equinor's Bakken assets. In April 2021, Fund X committed $250 million, Fund XI committed $500 million, and management committed $1 million, providing a total equity commitment of $751 million to the company. Simultaneous with the April closing, ownership across members was trued up based on commitments to the company. The investment is structured in the form of common equity with EnCap receiving 99.9% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Concurrent with the formation of Grayson Mill II, the company closed its acquisition of Equinor's Bakken assets for $900 million. Equinor's Bakken assets include ~240k net acres producing ~44 MBoe/d net (67% oil), as well as an extensive crude, gas, and water gathering system that greatly enhances producer margins. At closing, the transaction was funded with $560 million in equity, $275 million in debt, and $65 million in interim period cash flow. The valuation was highly compelling with over $1 billion in hard value coverage and meaningful upside inventory remaining that was not valued to underwrite the deal. Additional upside exists in LOE reductions and refrac potential. Equinor hedged a meaningful portion of PDP volumes on behalf of Grayson Mill at PSA signing, and Equinor also provided firm crude transportation at an attractive fixed fee arrangement through YE 2022. The transaction closed in April 2021.

During Q1 2022, Grayson Mill sold non-core acreage and associated production in Montana for $71 million to a private operator.

In Q4 2022, the company acquired EOG's Western Bakken assets for $125 million in cash consideration after EOG ran a marketed process. The acquired assets are substantially offset or inside existing Grayson Mill drilling units and include over 100 net locations. After netting out approximately $50 million of PDP value, this inventory was captured at a compelling valuation (<$1 million per location) and will further extend the deep inventory runway of the company, while also extending laterals for several of Grayson Mill's existing drilling units.

Recent Events

Management began influencing operations after closing in April 2021 and formally brought operations in-house in August 2021. Over the course of 2021, the team primarily focused on stabilizing production and lowering operating costs, which yielded excellent results. The company also completed a significant backlog of DUCs that were inherited from the seller and commenced a re-frac program. In late 2021, Grayson Mill deployed its first operated rig, and the company added a rig in each of Q1 2022 and Q4 2022. The company is currently running a 2-rig program.

During 2024, Grayson Mill intends to continue a moderate reinvestment rate, allowing for a balance of growth, value creation, and distributions from cash flow, while maintaining modest leverage (<1.0x). In Q1 2024, Grayson Mill distributed ~$70 million and has distributed ~$1.1 billion since inception. Overall, the company is very well positioned for continued success, especially in the current commodity price environment, and we expect to realize ongoing distributions from free cash flow for the foreseeable future. Additionally, the team may evaluate a sale of the business later this year.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
April-21	$394,177	$655,706	$1,196,602	$1,852,308	4.70x	N/A

Grenadier Energy Partners III, LLC

Company Description

Grenadier Energy Partners III, LLC ("Grenadier III") is a privately-held, Woodlands, TX-based oil and gas company. The Grenadier III management team is largely made up of individuals responsible for Grenadier Energy Partners II's success ("Grenadier II") and will be led by Patrick J. Noyes (CEO), Lenny Lilja (CFO), Kyle Noyes (President & COO), and Thomas Belsha (CTO & Business Development). Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.

Grenadier III will evaluate opportunities across multiple basins but will initially focus its efforts in the Midland Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success in the northern side of the Basin. Management is currently evaluating several positions held by smaller, private operators in Texas that may not have the operational capabilities that Grenadier III does or are not adequately capitalized to develop the assets to the level required by the public buyer universe in today's environment. As such, Grenadier III believes there is an opportunity for a consolidation of such positions and will emphasize their ability to create value through the drillbit. Grenadier III will remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.

Transaction Summary

In April 2021, Fund XI committed $343 million and management committed $7 million providing a total equity commitment of $350 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98.0% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a gradual basis as additional return hurdles are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Grenadier III is actively evaluating acquisition opportunities in areas where the team has prior experience and/or a competitive advantage. The team will additionally remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.

Valuation ($000's)

The investment in Grenadier III is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-21	$54,880	$0	$54,880	$54,880	1.00x	N/A

Pegasus Resources Holdings II, LLC

Company Description

Pegasus Resources Holdings II, LLC ("Pegasus II") is a privately-held, Fort Worth-based company focused on the acquisition and aggregation of mineral interests and overriding royalties in the core of the Permian Basin. Pegasus II is led by George M. Young Jr. (CEO), Will Rodgers (President), Lynn Frank (CFO), Scott Hargrove (VP-Land), and David Hvyl (Sr. Reservoir Engineer). Mr. Young was formerly CEO of Silverback Exploration, a Fund IX portfolio company, which sold its Delaware Basin assets to Centennial Resource Development in December 2016 for $855 million, which generated a 3.1x ROI net to Fund IX. Management originally formed Pegasus Resources Holdings, LLC in 2017, which was consolidated into EnCap Minerals, LLC in June 2021. Management now manages EnCap Minerals in addition to Pegasus II and Pegasus III.

Continuing the strategy of Pegasus I, Pegasus II's initial strategy is to selectively acquire, manage and grow a portfolio of mineral interests within the Permian Basin, where management has extensive experience and relationships. The company strives to acquire minerals under the most efficient and sophisticated operators where line of sight to near-term development is achievable. Initially, Pegasus is focusing on seeking out proprietary, privately-negotiated opportunities and thus is targeting areas in which the team has the most experience and contacts.

Transaction Summary

In June 2021, Fund XI committed $297.3 million and management / other investors committed $2.7 million, providing a total equity commitment of $300.0 million to the company. The investment is structured in the form of common equity with Fund XI receiving 99.1% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a gradual basis as additional return hurdles are met. EnCap holds a majority position on the Board of Managers. Overhead between EnCap Minerals, Pegasus II, and Pegasus III, is allocated based off direct costs and attention served and is reviewed and approved by the Board. With the initiation of Pegasus III in February 2024, Pegasus II does not plan to make any incremental mineral acquisitions and will instead focus on distributions from ongoing cash flow.

Recent Events

Since formation in June 2021, Pegasus II has closed on ~$217 million of minerals transactions and amassed ~16,200 net royalty acres substantially located in the core of the Permian Basin. In Q1 2024, Pegasus II distributed $5 million net to Fund XI from royalty cash flow. Pegasus II's portfolio remains largely undeveloped, and the company expects to realize significant organic growth through ongoing and increased industry activity across its position in the Permian Basin, which will further bolster distributions throughout 2024 and beyond.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-21	$215,539	$4,955	$350,406	$355,361	1.65x	N/A

EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC ("EnCap Minerals") was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals, Pegasus II, and Pegasus III using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has realized significant organic growth through ongoing and increased industry activity across its position in the Permian Basin. Nearly half of all Permian rigs have been running on EnCap Minerals' position over the past few quarters. As such, we anticipate continued production growth in 2024 based on current activity levels.

In 1Q 2024, EnCap Minerals made ~$115 million in distributions ($42 million to Fund XI, $60 million to Fund X, and $11 million to Fund IX). For FY 2023, EnCap Minerals made approximately $480 million in distributions net to funds XI, X, and IX and will continue to make monthly distributions on an ongoing basis.

Valuation ($000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-17	$599,695	$469,429	$1,044,359	$1,513,788	2.52x	N/A

Verdun Oil Company II LLC

Company Description

Verdun II is headquartered in Houston, TX and is led by the same management team as Verdun I (Fund X); Tim Nein (CEO), Danny Savitz (CFO), Jason LaGrega (COO), Will Rider (EVP Land & BD), Mark Stephenson (EVP-Geology), and Martin Perez (EVP-Engineering) (collectively, "Management" or "Verdun Management"). Verdun II was formed in July 2021 to acquire EP Energy's Eagle Ford assets and was capitalized with a $392 million commitment from Fund XI at signing.

Transaction Summary

On July 26, 2021, Verdun II and XCL signed an agreement to acquire EP Energy's South Texas Eagle Ford and Uinta assets for $1.55 billion. Verdun II's allocated purchase price was $758 million ($706 million cash / $53 million hedge loss assumption), subject to adjustments, and jointly posted a $72 million deposit.

After signing, the transaction was flagged for review by the FTC, citing concerns with XCL's acquisition of the Uinta assets. During a lengthy review process with the FTC, it was ultimately decided that the best path forward would be to agree that EnCap would divest the Uinta assets in order to ensure the capture of the Eagle Ford assets at a compelling valuation. A limited and expedited process was run and a PSA was signed with Crescent Energy to sell the Uinta assets for $815 million in February 2022. On March 31, 2022 the acquisition of EP Energy's Eagle Ford assets closed simultaneously with the close on the sale of Uinta assets to Crescent.

EP Energy's Eagle Ford assets consist of ~110,000 net acre, primarily located in La Salle County, TX, producing ~25.7 Mboe/d (~65% oil). Verdun management believes that there are a number of greenfield development locations with compelling economics at today's commodity prices, and additional refrac candidates. Potential upside also exists in LOE optimization and operational efficiencies. The asset base gives Verdun II immediate scale, and given it's large production base, positions the company to immediately develop the asset within cash flow while making distributions.

Recent Events

Verdun II continues to optimize operations on its acquisition of assets from EP Energy. To date the company has distributed $302 million net to Fund XI, including $26 million net to Fund XI in the first quarter.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-21	$356,250	$301,953	$634,114	$936,067	2.63x	N/A

Sabalo II Holdings, LLC

Company Description

Sabalo Energy II, LLC ("Sabalo II") is a privately-held, Corpus Christi, TX-based oil and gas company. The Sabalo II management team is largely made up of individuals responsible for Sabalo Energy I's ("Sabalo I") successful sale to Laredo Petroleum (NYSE: LPI) and will be led by Barry Clark (CEO), Robert Helm (CFO), Tom Medary (VP Geology), and Mike Dignam (EVP Corporate Development). Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.

Sabalo II will evaluate opportunities across multiple basins, but will initially focus its efforts in the Permian Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success. Management is currently evaluating several positions in the Midland Basin both on and off market and believes there is an opportunity for consolidation as both public and private operators look to offload assets. Sabalo II will remain opportunistic as it relates to other basins given its experience across multiple plays in the U.S.

Transaction Summary

In September 2021, Fund XI committed $296.5 million and management committed $3.5 million, providing a total equity commitment of $300 million to the Company. The investment is structured in the form of common equity with Fund XI receiving 98.8% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Sabalo II is actively evaluating acquisition opportunities in areas the team has prior experience and/or a competitive advantage. The team will also remain opportunistic as it relates to other basins given its experience in multiple basins.

Valuation ($000's)

The investment in Sabalo II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-21	$15,813	$0	$15,813	$15,813	1.00x	N/A

Paloma Partners VI Holdings, LLC

Company Description

Paloma VI ("PPVI" or "PNG") is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Haynesville Shale. PPVI was formed in December 2021 and is led by Chris O'Sullivan (President), Mike Winsor (CEO), Mark Gabrisch (EVP Land), and Bobby Poirrier (CFO) ("Management"). Management, excluding Mr. Winsor, has a long track record of value creation with EnCap across multiple entities dating back to 1998. Mr. Winsor was previously EVP and COO at Indigo Natural Resources ("Indigo"), where he managed the entirety of Indigo's operations in the Haynesville including an eight rig program at its peak. Mr. Winsor has also attracted other key ex-Indigo personnel to join PPVI to help lead a strong operations platform. Management will continue to operate Paloma IV (Fund IX), where the team has led a strong turnaround of the business. Paloma V (Paloma Solar & Wind) was realized in February 2022.

Transaction Summary

In December 2021, Fund XI committed $539.0 million to Paloma VI. Management committed $11.0 million, providing a total equity commitment of $550.0 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98% of distributed cash until an 8% IRR and 1.0x ROI is achieved. Distributions thereafter will be allocated on a graduated bases as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers. Note, certain executive members of the management team will dedicate their time to both PPVI and Paloma VII and overhead will be allocated based off direct costs and attention served and is reviewed and approved by the board.

Post Investment Activity

Concurrent with the formation of Paloma VI, the company closed its take-private transaction of Goodrich Petroleum Corporation ("GDP") for $527 million, including the assumption of debt. GDP's assets include ~32,200 net acres in the Haynesville (92% HBP) producing ~180 MMcfe/d net (97% gas). At closing, the transaction was funded with $430 million in equity and $97 million in assumed net debt. PPVI's business plan is to accelerate activity with multiple rigs operating a larger scale and more efficient program to bring value forward. While not underwritten, we have high confidence in management's ability to further expand core Haynesville inventory, improve NRIs, and extend existing short lateral units with its land and BD expertise. The transaction closed on December 23, 2021.

Recent Events

Throughout 2022, the company dramatically increased activity levels in light of strong gas prices and economics, running five rigs and two completion crews at the peak of activity. The Board prioritized operational flexibility, avoiding material midstream, services, or land obligations that would require certain activity levels. Additionally, the company prudently layered on hedges to protect existing production.

In light of the pullback in natural gas prices, the company swiftly altered its capital budget and halted all development activity in early 2023. The company currently has 17 gross DUCs and will opportunistically complete these wells when economics justify doing so. Despite a very challenged near-term gas environment, PNG is well protected with its existing hedge book (substantially hedged at favorable prices for full-year 2024). The company continues to add core inventory at attractive prices, and we believe PNG is well positioned to generate value when the gas market improves.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-21	$504,700	$0	$520,327	$520,327	1.03x	N/A

Double Eagle Energy Holdings IV, LLC

Company Description

Double Eagle Energy Holdings IV, LLC ("Double Eagle") was formed in March 2022 and is based in Fort Worth, TX. Double Eagle is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled "land machine" to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~$520 million in the assets, and ultimately sold to Parsley in 2017 for ~$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.

Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~$6.4 billion, representing a gross 3.1x ROI and 43% IRR.

Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle was initially be capitalized with a $1.1 billion common equity commitment, which includes $1.0 billion from Fund XI and $100 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to $100 million, which would reduce Fund XI's commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of $50 million.

In Q2 2022, Double Eagle closed on additional commitments from Friends and Family, raising the total commitment to be $1.15 billion. This includes $900 million from Fund XI, $154 million from Friends and Family, and $100 million from Management.

In Q1 2023, Double Eagle's commitment was expanded by 50% in order to continue acreage acquisitions and execution at scale with the intention to transfer the commitment to Fund XII upon fundraising first close and Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI advisory board in Q4 2022 who approved the expansion and subsequent commitment transfer.

In Q2 2023, Double Eagle's $450 million commitment expansion was transferred from Fund XI to Fund XII and Fund XI received a return of 8% from Fund XII for dollars previously funded. In Q3 2023, $100 million of the Fund XII commitment was transferred to select co-investors.

Recent Events

As of March 31, 2024, Double Eagle has closed on >50,000 net acres in the Permian Basin through numerous acquisitions and trades. During the quarter, they continued their 5-rig development program, *with Q1 2024 production greater than 30 Mboe/d. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or a competitive advantage.*

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-22	$675,520	$0	$1,220,636	$1,220,636	1.81x	N/A

Tumbleweed Royalty IV, LLC

Company Description

Tumbleweed Royalty IV, LLC ("Tumbleweed") was formed in March 2022 and is based in Fort Worth, TX. Tumbleweed is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Grant Wright (President), and Ben Faith (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Tumbleweed Royalty I in 2016 to acquire mineral and royalty interest in the Midland Basin. The team invested a total of $70 million to acquire ~13,000 net royalty acres. Tumbleweed Royalty I ultimately sold its assets in three separate transactions from 2017 to 2019 realizing $200 million in ultimate proceeds, representing a gross 2.9x ROI.

In 2020 Management formed Tumbleweed Royalty II to acquire mineral and royalty interest the Midland Basin. This entity currently consists of ~14,000 net royalty acres concentrated in the highest quality areas of the Midland Basin. Collectively, Management has consolidated more than $500 million of royalty acreage since 2016.

Tumbleweed intends to leverage its industry relationships to identify and acquire mineral and royalty interest in the Midland and Delaware Basins.

Transaction Summary

Tumbleweed was initially capitalized with a $550 million common equity commitment, which includes $500 million from Fund XI and $50 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to $50 million, which would reduce Fund XI's commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of $25 million.

In Q2 2022, Tumbleweed closed on additional commitments from Friends and Family, raising the total commitment to be $577 million. This includes $450 million from Fund XI, $77 million from Friends and Family, and $50 million from Management.

Recent Events

As of March 31, 2024, Tumbleweed has closed on >17,000 net royalty acres in the Permian Basin. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or a competitive advantage.

Valuation ($000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-22	$311,778	$0	$454,254	$454,254	1.46x	N/A

Earthstone Energy, Inc

Company Description

Earthstone Energy, Inc. (NYSE: ESTE) is a publicly-traded independent oil and gas company focused on the exploration and production of onshore assets in the U.S. Management is led by Frank Lodzinski (Executive Chairman), Robert Anderson (CEO) and their technical team, who previously led Oak Valley Resources, LLC ("OVR") and have a demonstrable track record of value creation over the last 20 years in various public and private companies. Prior to partnering with EnCap in OVR, Mr. Lodzinski managed GeoResources, Inc. (formerly NASDAQ: GEOI), which was merged with Halcon Resources (NYSE:HK) in April 2012 for $1 billion. At closing, the transaction generated a 4.9x ROI and a 38% IRR for original investors. OVR marked EnCap's third partnership with Mr. Lodzinski and Mr. Anderson (after Cliffwood Oil & Gas and AROC) and the fifth oil & gas company the team have managed since the late 1980s. In 2014, OVR signed an agreement to reverse merge into Earthstone Energy, Inc. (NYSE:ESTE). Earthstone gained its initial operated Permian footprint through its combination with Bold Energy III (Fund IX) in May 2017. After a resetting of the market from Covid related turmoil, Earthstone began to execute on a series of highly accretive acquisitions in 2020 in the Midland and Delaware Basins, due in part to the company's strong balance sheet and reputation for being a great partner.

Transaction Summary

On April 14, 2022, Earthstone completed a bolt-on deal to acquire privately held operated assets in the Southern Midland Basin from Bighorn Permian Resources, LLC ("Bighorn") for a total consideration of $713 million. Earthstone funded $639 million of cash and issued 5.7 million shares of Earthstone's Class A common stock to Bighorn. To help fund the cash portion of the deal, Earthstone issued $550 million of 8% senior unsecured notes in April 2022 and closed a $280 million PIPE that included $220 million from EnCap (19.8 million new shares of Earthstone Class A common stock net to Fund XI) and $60 million from Post Oak Energy Capital ("Post Oak") (5.4 million new shares to Earthstone Class A common stock). In conjunction with this transaction, EnCap Fund VII also sold all 4.6 million of its Earthstone shares to Post Oak for $51 million in total proceeds. Negotiation of deal terms was led by Post Oak, and EnCap received all necessary Advisory Board approvals related to the Bighorn transaction.

Post Investment Activity

On August 10, 2022, Earthstone closed its acquisition of Titus Oil & Gas Production, LLC's northern Delaware Basin assets in New Mexico for $635 million including $575 million cash and $60 million of equity (3.9 million shares). The deal was priced at a discount to PDP PV10 value and helps Earthstone expand its highly economic inventory in the core of the Delaware Basin and add additional scale.

On June 15, 2023 Earthstone announced a $1.0 billion acquisition of Novo Oil & Gas Holdings, LLC's (Fund X) Delaware Basin assets. The acquisition will meaningfully increase cash flow, scale and highly economic inventory in the core of New Mexico. This transaction was reviewed and approved by an independent committee of non-EnCap directors of the Earthstone Board and is expected to close in Q3 2023.

On August 21, 2023, Earthstone and Permian Resources (NYSE: PR) announced an all-stock combination whereby ESTE shareholders will receive 1.446x PR shares for every ESTE share. This exchange rate equates to an implied 14.8% premium to ESTE's closing price on the prior trading day and a 27% / 73% relative equity sharing between ESTE and PR, respectively. The merger closed on November 1, 2023.

In December 2023, EnCap sold 7.5 million shares (pro rata to the EnCap funds holding PR shares) for net proceeds of $97 million ($59 million Fund IX, $34 million Fund XI, and $4 million Fund VIII) as part of a coordinated secondary offering.

Recent Events

EnCap believes that the new PR (and existing ESTE shareholders) will greatly benefit from (i) the size and scale needed to attract investors and support an improved valuation over time, (ii) a healthy balance sheet, *(iii) strong FCF profile, (iv) deep inventory of core Delaware locations, (v) enhanced daily trading volume that is a requirement for many high quality long-only investors, and (vi) a management team that is well received by the public.*

In March 2024, EnCap sold 9.0 million shares (pro rata to the EnCap funds holding PR shares) for net proceeds of $141 million ($86 million Fund IX, $50 million Fund XI, and $6 million Fund VIII) as part of a coordinated secondary offering. This represented roughly 12% of EnCap owned shares in PR. Currently, EnCap holds 64.6 million shares (39.1 million Fund IX, 22.8 million Fund XI, and 2.7 million Fund VIII). EnCap will monitor the market for future opportunities to sell shares but continue to have confidence in the company's ability to generate shareholder value.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-22	$220,969	$93,770	$403,095	$496,865	2.25x	N/A

EFM M6 Holdings, L.P. (M6 Midstream LLC)

Company Description

M6 Midstream ("M6") is a privately held, Houston-based independent midstream company led by Bill Pritchard (Chairman), Frank Tsuru (CEO), Brant Baird (President & COO), and George Francisco (EVP & CFO). M6 is the sixth iteration of Momentum Midstream, and including three other upstream entities led by the team, the Momentum family of companies has generated a weighted average 2.6x ROI on $2.9 billion of invested equity dating back to 2002.

Transaction Summary

M6 was initially formed by a consortium of third party investors in 2020. In June 2022, EFM IV partnered with M6 to better position the company to execute its business plan in the Haynesville. Upon Fund XI's initial commitment, M6 had $1.7 billion in total equity commitments including $650 million from EFM IV and $595 million from Fund XI. As approved by the Advisory Boards of the respective funds, Fund XI subsequently transferred $395 million of its $595 million commitment to EFM V when the fund was activated in January 2023, which reduced Fund XI's commitment to $200 million. The investment is structured in the form of common equity, with investors receiving a proportionate share of distributions until a 7% IRR is achieved. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EFM holds a majority position on the Board of Managers.

Post-Investment Activity

Prior to Fund XI's commitment to M6 Midstream, the company closed on $1.55 billion of Haynesville-focused acquisitions from Align and Midcoast in Q3 2022. These anchor assets consist of gas gathering, processing, and transportation systems with > 2.0 Bcf/d of current throughput, ~3,900 pipeline miles, and 700,000 dedicated acres.

In September 2022, the company announced FID on its new natural gas gathering and carbon capture project, New Generation Gas Gathering ("NG3"), which will gather natural gas produced in the Haynesville Shale for re-delivery to premium Gulf Coast markets, including LNG export. The project is underpinned by significant, long-term, and guaranteed commitments from several high-quality counterparties, with contract negotiations underway with numerous others. Chesapeake Energy's anchor commitment for NG3 comes with a 35% interest in the project, structured as a JV, creating alignment between M6 and one of the largest Haynesville producers. The NG3 project is expected to be in service by early 2025.

On or about August 31, 2023, certain Energy Transfer entities filed a lawsuit against a subsidiary of Momentum Midstream in DeSoto Parish, LA. The Petition for Declaratory Judgement purports to ask the court to grant what we believe is unusual approval authority to Energy Transfer and its subsidiaries over pipeline crossings needed for the construction of M6's NG3 pipeline project. Such crossings are routine in the industry with well-established practices and procedures. M6 and its subsidiaries, along with its industry partners in the NG3 project, intend to vigorously litigate the petition and are exploring all viable commercial and legal avenues to resolve the matter.

Recent Events

During the quarter, the team continued to make commercial progress on both existing business contractual enhancements, along with multiple potential larger projects that would capture additional U.S. LNG supply market share. The unprecedented 11 Bcf/d (+80%) of LNG demand growth over the next few years is creating significant additional opportunities not originally underwritten. The team specifically is seeing an uptick in activity in the Western Haynesville area, which could help underwrite meaningful new infrastructure as well as utilize existing pipelines that have excess capacity.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-22	$138,213	$0	$139,086	$139,086	1.01x	N/A

Grayson Mill Energy III, LLC

Company Description

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company's strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv's Bakken assets for $825 million. At signing, Fund X and Fund XI posted a ~$41 million deposit to secure the deal. Subsequently, the company was capitalized with $904 million of total equity commitments: (i) $67 million Fund X, (ii) $133 million Fund XI, (iii) $400 million Fund XII, (iv) $300 million co-investors, and (v) $4 million management. Management's initial $4 million commitment will expand up to $20 million as ongoing distributions are made from Grayson Mill II. Approximately $245 million of the $300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv's Bakken assets for $825 million. Ovintiv's Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company's ongoing business development efforts.

Management formally brought operations in-house in Q3 2023 and initiated a 1-rig program and began performing refracs in conjunction with new development. Well results to date have been in-line with initial expectations.

Recent Events

Grayson Mill III is maintaining a moderate reinvestment rate and has a strong balance sheet and leverage profile (<1.0x). The company expects to initiate a distribution program in the second half of 2024 from free cash flow. The team is also actively evaluating additional bolt-on opportunities and may evaluate a sale of the business later this year.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-23	$68,889	$0	$115,183	$115,183	1.67x	N/A

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI

Section IV:
Financial Statements

ENCAP ENERGY CAPITAL FUND XI, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2024
ASSETS	
Investments, at fair value (cost $4,861,443,847)	$ 8,660,442,116
Cash and cash equivalents	76,521,797
Total assets	$ 8,736,963,913
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ —
Due to Limited Partners	1,079,397
Total liabilities	1,079,397
Partners' capital:	
General Partner	1,417,857,859
Limited Partners	7,318,026,657
Total partners' capital	8,735,884,516
Total liabilities and partners' capital	$ 8,736,963,913

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

SCHEDULE OF INVESTMENTS

MARCH 31, 2024

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Silverback Exploration II, LLC	97.2%	$ 199,586,426	$ 174,922,000	2.0%
Enduring Resources IV, LLC	45.2%	298,913,428	346,525,000	4.0%
Black Swan Oil & Gas, LLC	70.9%	60,288,615	304,906,000	3.4%
EnCap Minerals Holdings, LLC	3.0%	42,352,177	84,174,584	1.0%
Pegasus Resources Holdings, LLC	96.8%	533,867,338	960,184,416	11.0%
Forge Energy II, LLC	99.7%	32,457,209	53,538,000	0.6%
XCL Resources Holdings, LLC	94.4%	585,245,000	1,336,537,000	15.3%
Piedra Energy IV, LLC	95.2%	1,377,406	1,550,000	0.0%
Rock River Minerals IV, LP	95.1%	139,047,619	233,579,000	2.7%
Special Opportunities Capital, LLC	100.0%	15,249,187	15,749,000	0.2%
Arbor Renewable Gas Holdings, LLC	31.4%	44,381,003	44,381,003	0.4%
Grayson Mill Holdings II, LLC	66.6%	459,999,190	1,311,785,000	15.0%
Grenadier Energy Partners III, LLC	98.0%	54,880,000	54,880,000	0.6%
Pegasus Resource Holdings II, LLC	99.1%	215,538,875	350,406,000	4.0%
Verdun Oil Company II LLC	95.0%	356,250,000	634,114,000	7.3%
Sabalo II Holdings, LLC	98.3%	15,813,333	15,813,333	0.2%
Paloma Partners VI Holdings, LLC	98.0%	504,700,000	520,327,000	6.0%
Double Eagle Energy Holdings IV, LLC	52.0%	675,519,630	1,220,636,000	14.0%
Tumbleweed Royalty IV, LLC	77.9%	311,778,291	454,254,000	5.2%
EFM M6 Holdings, L.P.	12.2%	138,212,799	139,086,000	1.6%
Public equity investment holdings:				
Permian Resources Corporation	22,825,299	175,986,321	403,094,780	4.6%
Total investments		$ 4,861,443,847	$ 8,660,442,116	99.1%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Investment income:	
Interest	$ 979,312
Dividend	139,950,890
Total investment income	140,930,202
Expenses:	
Management fees	18,480,453
General and administrative	48,353
Total expenses	18,528,806
Net investment income	122,401,396
Realized and unrealized gain (loss) on investments:	
Net realized gain on investments	118,423,858
Net change in unrealized appreciation on investments	605,288,872
Net realized and unrealized gain on investments	723,712,730
Net increase in partners' capital resulting from operations	$ 846,114,126

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2023	$1,239,062,061	$ 7,008,500,507	$ 8,247,562,568
Capital distributions	(10,733,766)	(347,058,412)	(357,792,178)
Net increase in partners' capital resulting from operations	25,383,424	820,730,702	846,114,126
Incentive allocation	164,146,140	(164,146,140)	—
Partners' capital at March 31, 2024	$1,417,857,859	$ 7,318,026,657	$ 8,735,884,516

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 846,114,126
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Purchase of investments	(25,378,249)
Proceeds from investments	190,021,445
Realized gain on investments	(118,423,858)
Change in unrealized appreciation on investments	(605,288,872)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	25,543
Increase (decrease) in due to affiliate	(240,279)
Net cash provided by operating activities	287,909,253
Cash flows from financing activities:	
Distributions to partners	(357,792,178)
Net cash used for financing activities	(357,792,178)
Net change in cash and cash equivalents	(69,882,925)
Cash and cash equivalents, beginning of period	146,404,722
Cash and cash equivalents, end of period	$ 76,521,797

The accompanying notes are an integral part of these financial statements.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XI, L.P. (the "Partnership"), a Texas limited partnership, was formed on December 22, 2016 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated December 22, 2016, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XI GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on November 30, 2017. There are 369 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $208.8 million and $6,752.4 million, respectively. The Partners' total outstanding commitments as of March 31, 2024 were approximately $888.3 million. The ratio of total contributed capital to total committed capital is 88.0%. The Partnership has committed $7,539.2 million to portfolio companies, of which $1,697.6 million remains unfunded at March 31, 2024.

EnCap Energy Fund XI-C, L.P. (the "C Feeder") and EnCap Energy Capital Fund XI-D, L.P. (the "D Feeder"), affiliated funds, are investors in the Partnership. The C Feeder's and D Feeder's ownership in the Partnership's capital are 13.946253% and 8.279808%, respectively.

The Partnership shall be dissolved upon the expiration of a 10-year period ending December 22, 2026, unless the Advisory Board or greater than 75% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of March 31, 2024.

	Assets at Fair Value as of March 31, 2024			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ —	$ —	$ 8,257,347,336	$ 8,257,347,336
Public equity holdings	403,094,780	—	—	403,094,780
	$ 403,094,780	$ —	$ 8,257,347,336	$ 8,660,442,116

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2023. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	Fair Value at December 31, 2023	Valuation Techniques(1)	Unobservable Inputs(2)	Range of Inputs (Weighted Average)
Investments in Equity of Privately Held Companies	$134,681,336	Precedent transactions	Recent transaction price	N/A
	$7,613,008,000	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$62.02-$71.52
			NYMEX forward strip gas pricing ($/MMBTU)	$2.68 - $3.85
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	40% - 80% (61.0%)
			Cash flow multiple	5.2x - 15.4x (8.6x)
		Value of Undeveloped Acreage	Price per acre	$30,000

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

During the three months ended March 31, 2024, purchases of Level 3 investments totaled $25,378,249. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the three months ended March 31, 2024, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2024, the Partnership has cash in its Fidelity money market account of $76,521,797. The Partnership places its cash and cash equivalents with financial institutions, and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2020. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Three months ended March 31, 2024	
	Contributions	Proceeds
Private equity investment holdings:		
Black Swan Oil & Gas, LLC	$ —	$ 104,443,583
Forge Energy II, LLC	—	20,250,000
Piedra Energy IV, LLC	—	15,357,148
Special Opportunities Capital, LLC	369,294	—
Grenadier Energy Partners III, LLC	7,840,000	—
Sabalo II Holdings, LLC	2,965,000	—
EFM M6 Holdings, L.P.	14,203,955	—
Public equity investment holdings:		
Permian Resources Corporation	—	49,970,714
	$ 25,378,249	$ 190,021,445

In March 2024, the Partnership sold 3,180,822 shares of Permian Resources Corporation (NYSE: PR) and received proceeds of $49,970,714, resulting in a realized gain of $25,446,121.

In January 2024, the Partnership received proceeds from Black Swan Oil & Gas, LLC of $104,443,583 from the sale of all remaining 3,047,224 shares of Ovintiv Inc. (NYSE: OVV), resulting in a realized gain of $78,655,123.

In January 2024, the Partnership received proceeds from Piedra Energy IV, LLC of $15,357,148 from the sale of all remaining 366,941 shares of Ovintiv Inc. (NYSE: OVV), resulting in a realized gain of $7,152,384.

In January 2024, the Partnership received additional sales proceeds from Forge Energy II, LLC of $20,250,000, resulting in a realized gain of $7,170,229.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 3% to the General Partner and 97% to the Limited Partners ("Partners' Sharing Ratio") until such time as the Limited Partners receive an 8% internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase (decrease) in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the three months ended March 31, 2024, net increase in partners' capital resulting from operations allocated to the General Partner and Limited Partners was $189,529,564 and $656,584,562, respectively, which includes an unrealized incentive allocation to the General Partner of $164,146,140.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.5% of total partner commitments, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The initial management fee period expired on November 30, 2022, five years from the final closing date. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the three months ended March 31, 2024, the Partnership paid management fees of $18,480,453 to the General Partner.

During the three months ended March 31, 2024, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $305,447 for general and administrative expenses. At March 31, 2024, the Partnership owed $0 to EnCap for general and administrative expenses.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	7.8%
Expense ratios:	
Operating expenses	1.0%
Unearned incentive allocation	4.3%
Operating expenses and unearned incentive allocation ratio	5.3%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	19.4%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	19.8%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND XI-C, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND XI-C, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2024
ASSETS	
Investment in EnCap Energy Fund XI-C, L.P., at fair value	$ 937,210,544
Cash	63,379
Total assets	$ 937,273,923
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ 19,695
Total liabilities	19,695
Partners' capital:	
General Partner	—
Limited Partners	937,254,228
Total partners' capital	937,254,228
Total liabilities and partners' capital	$ 937,273,923

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Net investment income allocated from EnCap Energy Fund XI-C, L.P.:	
Investment income	$ 18,516,802
Investment expense	(2,438,605)
Net investment income allocated from EnCap Energy Fund XI-C, L.P.	16,078,197
Expenses:	
General and administrative	9,484
Total expenses	9,484
Net investment income	16,068,713
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Fund XI-C, L.P.:	
Net realized gain on investments	15,550,260
Net change in unrealized appreciation on investments	79,480,599
Allocation of unearned carried interest	(22,220,682)
Net realized and unrealized gain on investments allocated from EnCap Energy Fund XI-C, L.P.	72,810,177
Income before provision for income taxes	88,878,890
Provision for income tax benefit allocated from EnCap Energy Fund XI-C, L.P.	(14,981,436)
Net increase in partners' capital resulting from operations	$ 103,860,326

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2023	$ —	$ 880,375,662	$ 880,375,662
Capital distributions	—	(46,981,760)	(46,981,760)
Net increase in partners' capital resulting from operations	—	103,860,326	103,860,326
Partners' capital at March 31, 2024	$ —	$ 937,254,228	$ 937,254,228

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 103,860,326
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Fund XI-C, L.P.	46,981,762
Net investment income allocated from EnCap Energy Fund XI-C, L.P.	(16,078,197)
Realized gain on investment	(15,550,260)
Change in unrealized appreciation on investment	(79,480,599)
Allocation of unearned carried interest	22,220,682
Provision for income tax benefit allocated from EnCap Energy Fund XI-C, L.P.	(14,981,436)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	65,650
Increase (decrease) in due to affiliate	5,133
Net cash provided by operating activities	47,043,061
Cash flows from financing activities:	
Distributions to partners	(46,981,760)
Net cash used for financing activities	(46,981,760)
Net change in cash	61,301
Cash, beginning of period	2,078
Cash, end of period	$ 63,379

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XI-C, L.P. (the "Partnership"), a Cayman exempt limited partnership, was formed on December 22, 2016 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund XI, L.P. ("Fund XI"), a Texas limited partnership, indirectly through its equity and debt interest in EnCap Energy Fund XI-C, L.P. ("C Blocker"). C Blocker, a 94.154458% subsidiary of the Partnership, was formed on December 22, 2016 for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund XI. Through its investment in C Blocker, the Partnership also holds a proportionate share of notes payable (accruing interest at 10.5% per annum). Notes payable outstanding at December 31, 2023 is $556,514,820 which is used to fund the Blocker's interest in Fund XI. Fund XI was formed on December 22, 2016 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated December 22, 2016, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XI-C Cayman GP, LLC ("General Partner"), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on November 30, 2017. There are 72 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $914.1 million. The Limited Partners' total outstanding commitments as of March 31, 2024 were approximately $116.6 million. The ratio of total contributed capital to total committed capital is 88.0%.

Through its investment in C Blocker, the Partnership indirectly invests in all corresponding investments in Fund XI and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund XI partnership agreement. The financial statements of Fund XI, including the Schedule of Investments, are attached to this report and should be read with the Partnership's financial statements. The Partnership's funded ownership interest in Fund XI is 13.131019%.

The Partnership shall be dissolved upon the dissolution of Fund XI or the expiration of a 10-year period ending December 22, 2026, unless greater than 75% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2024, the investment in C Blocker is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund XI's valuation policies are discussed in Note 2 of the Fund XI financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund XI is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund XI's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund XI may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund XI to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund XI may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund XI in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund XI might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund XI. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash

Cash represents cash deposits held at financial institutions which is readily available. At any time, cash in financial institutions may exceed federally insured limits.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund XI's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's financial statements include the Partnership's allocable share of the provisions for income tax expense and income taxes payable by its subsidiary, C Blocker. In accordance with the FASB guidance "Income Taxes", C Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

Income taxes paid and payable by C Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred.

The Partnership is not subject to income taxation; the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2020. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

On August 16, 2022, the Inflation Reduction Act ("IRA") was signed into law and included various income tax related provisions with effective dates generally beginning in 2023. Among the enacted provisions are a 15% corporate alternative minimum tax ("CAMT") and several new and expanded clean energy credits and incentives. The CAMT will be assessed on applicable corporations with an average annual adjusted financial statement income that exceeds $1 billion for the preceding three consecutive years. The CAMT requires complex computations to be performed that were not previously required in U.S. tax law, significant judgments to be made in interpretation of the provisions of the IRA, significant estimates in calculations, and the preparation and analysis of information not previously relevant or regularly produced. The Partnership has considered the effects of the CAMT on the realizability of its deferred tax assets, carryforwards and other tax credits. CAMT did not have any impact on C Blocker's financial statements for the year ending December 31, 2023.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2024, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $28,209 for general and administrative expenses. At March 31, 2024, the Partnership owed EnCap $0 for general and administrative expenses.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	8.4%
Expense ratios:	
Expenses	2.1%
Unearned incentive allocation	4.5%
Expenses including unearned incentive allocation ratio	6.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	17.2%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	16.8%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expenses ratio includes the investment expenses and income tax provision allocated from C Blocker. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

BALANCE SHEET

	March 31, 2024
ASSETS	
Investment in EnCap Energy Fund XI-C, L.P., at fair value	$ 58,186,342
Cash	9,868
Total assets	$ 58,196,210
LIABILITIES AND MEMBERS' EQUITY	
Current liabilities:	
Due to affiliate	$ —
Total current liabilities	—
Members' Equity	58,196,210
Total liabilities and members' equity	$ 58,196,210

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Net investment income allocated from EnCap Energy Fund XI-C, L.P.:	
Investment income	$ 1,149,609
Investment expense	(151,400)
Net investment income allocated from EnCap Energy Fund XI-C, L.P.	998,209
Expenses:	
General and administrative	-
Total expenses	-
Net investment income	998,209
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Fund XI-C, L.P.:	
Net realized gain on investments	965,432
Net change in unrealized appreciation on investments	4,934,521
Allocation of unearned carried interest	(1,379,562)
Net realized and unrealized gain on investments allocated from EnCap Energy Fund XI-C, L.P.	4,520,391
Income before provision for income taxes	5,518,600
Provision for income tax allocated from EnCap Energy Fund XI-C, L.P.	(930,116)
Net income	$ 6,448,716

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

STATEMENT OF CHANGES IN MEMBERS' EQUITY

	Members' Equity
Balance, December 31, 2023	$ 54,664,338
Distributions	(2,916,844)
Net income	6,448,716
Balance, March 31, 2024	$ 58,196,210

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net income	$ 6,448,716
Adjustments to reconcile net income to net cash provided by operating activities:	
Proceeds from EnCap Energy Fund XI-C, L.P.	2,916,844
Net investment income allocated from EnCap Energy Fund XI-C, L.P.	(998,209)
Realized gain on investment	(965,432)
Change in unrealized appreciation on investment	(4,934,521)
Allocation of unearned carried interest	1,379,562
Provision for income tax allocated from EnCap Energy Fund XI-C, L.P.	(930,116)
Change in operating assets and liabilities	
(Increase) decrease in due from affiliate	10,095
Increase (decrease) in due to affiliate	(9,372)
Net cash provided by operating activities	2,917,567
Cash flows from financing activities:	
Distributions to members	(2,916,844)
Net cash used for financing activities	(2,916,844)
Net change in cash	723
Cash, beginning of period	9,145
Cash, end of period	$ 9,868

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XI-C Facilitator, LLC (the "Company"), a Delaware limited liability company, was formed on November 30, 2017 to provide its members with an opportunity to participate as a limited partner in EnCap Energy Capital Fund XI, L.P. ("Fund XI"), a Texas limited partnership, indirectly through its equity and debt interest in EnCap Energy Fund XI-C, L.P. ("C Blocker"). C Blocker, a 5.845542% subsidiary of the Company, was formed on December 22, 2016 for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund XI. Through its investment in C Blocker, the Company also holds a proportionate share of notes payable (accruing interest at 10.5% per annum). Notes payable outstanding at December 31, 2023 is $34,551,001 which is used to fund the Blocker's interest in Fund XI. Fund XI was formed on December 22, 2016 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Company operates pursuant to a limited liability company agreement (the "Company Agreement") dated November 30, 2017, which should be referred to for a complete description of the provisions of the Company. EnCap Equity Fund XI-C Cayman GP, LLC ("Manager"), a Delaware limited liability company, is the manager of the Company and the general partner of Fund XI.

There are 2 investors owning the members' equity interests ("Members") in the Company. The Members' total capital commitments to the Company are $56.8 million. The Members' total outstanding commitments as of March 31, 2024 were approximately $7.2 million. The ratio of total contributed capital to total committed capital is 88.0%.

Through its investment in C Blocker, the Company indirectly invests in all corresponding investments in Fund XI and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund XI partnership agreement. The financial statements of Fund XI, including the Schedule of Investments, are attached to this report and should be read with the Company's financial statements. The Company's funded ownership interest in Fund XI is 0.815234%.

The Company shall be dissolved upon the dissolution of Fund XI, the election of the Members and the Manager or an entry of a judicial decree of dissolution of the Company.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Company is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the Manager to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Company has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2024, the investment in C Blocker is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund XI's valuation policies are discussed in Note 2 of the Fund XI financial statements attached to this report.

Concentration of Risk

As the Company's investment in Fund XI is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Company's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Company's financial position, results of operations and cash flows.

Fund XI's investment program requires a moderate amount of diversification among its portfolio companies. Under Fund XI's Partnership Agreement, Fund XI may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund XI to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund XI may expose the Company to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund XI in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund XI might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund XI. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2024, the Company has no cash in its Fidelity money market account. The Company places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Company’s general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund XI’s difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Company’s financial statements include the Company’s allocable share of the provisions for income tax expense and income taxes payable by its subsidiary, C Blocker. In accordance with the FASB guidance “Income Taxes”, C Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

Income taxes paid and payable by C Blocker are allocated to the Members based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred.

The Company is taxed as a partnership and is not subject to income taxation, the tax effects of its activities accrue to the Members. The Company’s tax returns are subject to examination by federal, state, local, and foreign jurisdictions, where applicable. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2020. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Company’s income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Company. To the extent possible under the new rules, the Company’s manager may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each Member and former Member with respect to an audited and adjusted return. Although the Company’s manager may elect to have the members take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Company during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current Members may bear some or all of the tax liability resulting from such audit adjustment, even if such Members did not own units in the Company during the tax year under audit. If, as a result of any such audit adjustment, the Company is required to make payments of taxes, penalties and interest, the cash available for distribution to the Members might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

On August 16, 2022, the Inflation Reduction Act ("IRA") was signed into law and included various income tax related provisions with effective dates generally beginning in 2023. Among the enacted provisions are a 15% corporate alternative minimum tax ("CAMT") and several new and expanded clean energy credits and incentives. The CAMT will be assessed on applicable corporations with an average annual adjusted financial statement income that exceeds $1 billion for the preceding three consecutive years. The CAMT requires complex computations to be performed that were not previously required in U.S. tax law, significant judgments to be made in interpretation of the provisions of the IRA, significant estimates in calculations, and the preparation and analysis of information not previously relevant or regularly produced. The Partnership has considered the effects of the CAMT on the realizability of its deferred tax assets, carryforwards and other tax credits. CAMT did not have any impact on C Blocker's financial statements for the year ending December 31, 2023.

The Manager is required to determine whether a tax position of the Company is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Company recording a tax liability that would reduce members' capital. Based on the Manager's analysis, there are no material disclosures or adjustments impacting the Company's financial statements as of March 31, 2024. The Company does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the Manager's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO MEMBERS:

The Company Agreement provides that net income (loss) associated with the Company is allocated 100% to the Members on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2024, the Company reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Company, $9,372 for general and administrative expenses. At March 31, 2024, the Company owed EnCap $0 for general and administrative expenses.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	8.3%
Expense ratios:	
Expenses	2.1%
Unearned incentive allocation	4.6%
Expenses including unearned incentive allocation ratio	6.7%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	17.2%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	16.8%

The net investment income and expense ratios are calculated for the Members taken as a whole. The net investment income and expenses ratios do not reflect the effects of the incentive allocation to the Manager.

The expenses ratio includes the investment expenses and income tax provision allocated from C Blocker. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Members' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – CONTINGENCIES:

The Company's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the Manager does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND XI-D, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND XI-D, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2024
ASSETS	
Investment in EnCap Energy Capital Fund XI, L.P., at fair value	$ 624,658,281
Cash and cash equivalents	1,372,022
Total assets	$ 626,030,303
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ —
Due to Limited Partners	1,242,542
Total liabilities	1,242,542
Partners' capital:	
General Partner	—
Limited Partners	624,787,761
Total partners' capital	624,787,761
Total liabilities and partners' capital	$ 626,030,303

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-D, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Net investment income allocated from EnCap Energy Capital Fund XI, L.P.:	
Investment income	$ 11,668,750
Investment expense	(1,534,149)
Net investment income allocated from EnCap Energy Capital Fund XI, L.P.	10,134,601
Investment income:	
Interest	17,455
Total investment income	17,455
Expenses:	
General and administrative	-
Total expenses	-
Net investment income	10,152,056
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund XI, L.P.:	
Net realized gain on investments	9,805,268
Net change in unrealized appreciation on investments	50,116,753
Allocation of unearned carried interest	(14,011,324)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund XI, L.P.	45,910,697
Net increase in partners' capital resulting from operations	$ 56,062,753

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-D, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2023	$ —	$ 598,349,512	$ 598,349,512
Capital distributions	—	(29,624,504)	(29,624,504)
Net increase in partners' capital resulting from operations	—	56,062,753	56,062,753
Partners' capital at March 31, 2024	$ —	$ 624,787,761	$ 624,787,761

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-D, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 56,062,753
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Fund XI, L.P.	29,624,504
Net investment income allocated from EnCap Energy Capital Fund XI, L.P.	(10,134,601)
Realized gain on investment	(9,805,268)
Change in unrealized appreciation on investment	(50,116,753)
Allocation of unearned carried interest	14,011,324
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	53,215
Increase (decrease) in due to affiliate	(63,576)
Increase (decrease) in due to Limited Partners	1,242,542
Net cash provided by operating activities	30,874,140
Cash flows from financing activities:	
Distributions to partners	(29,624,504)
Net cash used for financing activities	(29,624,504)
Net change in cash and cash equivalents	1,249,636
Cash and cash equivalents, beginning of period	122,386
Cash and cash equivalents, end of period	$ 1,372,022

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-D, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XI-D, L.P. (the “Partnership”), a Texas limited partnership, was formed on December 22, 2016 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund XI, L.P. (“Fund XI”), a Texas limited partnership. Fund XI was formed on December 22, 2016 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the “Partnership Agreement”) dated December 22, 2016, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XI-D GP, LLC (“General Partner”), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership’s final close was on November 30, 2017. There are 29 investors owning the limited partnership interests (“Limited Partners”) in the Partnership. The Limited Partners’ total capital commitments to the Partnership are $576.4 million. The Limited Partners’ total outstanding commitments as of March 31, 2024 were approximately $73.6 million. The ratio of total contributed capital to total committed capital is 88.0%.

As a limited partner in Fund XI, the Partnership indirectly invests in all corresponding investments in Fund XI and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund XI partnership agreement. The financial statements of Fund XI, including the Schedule of Investments, are attached to this report and should be read with the Partnership’s financial statements. The Partnership’s funded ownership interest in Fund XI is 8.279808%. The Partnership will participate in Fund XI indirectly through EnCap Energy XI-D, Inc. (“Fund XI-D, Inc.”). Fund XI-D, Inc. will hold record title to the limited partnership interest in Fund XI as a nominee for and behalf of the Partnership as described in the Agency Agreement. Beneficial ownership will remain with the Partnership, which will be treated as the owner of the Partnership interest in Fund XI for U.S. federal income tax purposes.

The Partnership shall be dissolved upon the dissolution of Fund XI or the expiration of a 10-year period ending December 22, 2026, unless greater than 75% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2024, the investment in Fund XI is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund XI's valuation policies are discussed in Note 2 of the Fund XI financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund XI is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund XI's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund XI may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund XI to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund XI may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund XI in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund XI might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund XI. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and cash equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2024, the Partnership has cash in its Fidelity money market account of $1,372,022. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund XI's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2020. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2024, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $12,040 for general and administrative expenses. At March 31, 2024, the Partnership owed EnCap $0 for general and administrative expenses.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	7.8%
Expense ratios:	
Operating expenses	1.0%
Unearned incentive allocation	4.3%
Operating expenses and unearned incentive allocation ratio	5.3%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	19.4%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	19.7%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund XI. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.